BNP PARIBAS
Equities & Derivatives

Convertibles code

Extraordinary dividends and takeover protection clauses

Glossary

- **Takeover protection clauses**
  - **Type of product**
    - C = convertible bond
    - E = exchangeable bond
    - Old = convertible into old shares
    - OCEANE = convertibles into new and/or existing shares
  - **Issuer absolute discretion to accept or reject an offer**
    - YES / NO
  - **Ratchet: temporary enhancement of the conversion ratio/price**
    - R fixed — according to fixed levels year after year
    - R continuous — through the amortization of the issue premium over time
    - R equity — according to the equity level at the time of the offer
    - R pc — calculated through a premium compensation
  - **Put for change of control**
  - **Potential loss of equity upside**
    - RI_all equity — cash received through the offer is reinvested into equity products (in general shares included in the offer, or shares of the acquirer or shares included in a major equity index)
    - RI_ bonds included — cash received through the offer is reinvested into equity or bond type products (in general shares included in the offer, or shares of the acquirer or if not possible into bonds, government bonds etc …)
    - PC — cash is not reinvested but holder will received at

Glossary (cont'd)

- **Exceptional dividend clauses**
  - **Period** — **R / Du / ALL**
    - R — total dividends = dividends paid in Respect of the same fiscal year
    - Du — total dividends = dividends paid During the same fiscal year
    - ALL — any dividends paid to shareholders
  - **Type** — **Cash / Cash + Kind**
    - Some protection are taking into account all types of dividends paid ie cash + kind whereas some others are more restrictive (cash only)
  - **Equity definition for dividend yield calculation = E**
  - **Equity definition for adjustment calculation = S**
  - **Dividends = D1 + D2**
    - D1 = the relevant dividend (the one for which calculation is done)
    - D2 = dividends to be added to this relevant dividend
  - **Part of dividends considered as exceptional = DE**

EQUITIES & DERIVATIVES PRESENTATION

Convertibles & Exchangeables in Europe

Which Takeover Bid protections?

Muriel Blanchier (33 1) 55 77 71 86

Corporate and Investment Banking

Different philosophies

- Convertible bonds and OCEANE
- Exchangeable bonds
- Mandatory convertible bonds
- Mandatory exchangeable bonds

A different conception of bond holder status vis-à-vis shareholder status

Corporate and Investment Banking

BNP PARIBAS
Equities & Derivatives

1. Convertible bonds

Continuity

Temporary enhancement of conversion ratio (ratchet)

Put for change of control

Local regulations

Corporate
and Investment
Banking

BNP PARIBAS
Equities & Derivatives

Convertible bonds

- **Continuity principle**
  - in case of successful offers, CBs become convertible into the shares of the merged company (on the basis of the merger ratio)
  - As a result, there is no risk of losing equity sensitivity
  - However, there is a change of issuer which may lead to a change of credit quality
- **Taking part in an offer (if CBs are not targeted)**
  - Holders can convert bonds into shares at any time and can therefore take part in the offer on their own initiative
  - Depending on the level of the offer, the holder may be unable to take part in it due to an excessively high current premium
- **The offer may target CBs**
  - This is the case in France, where any offer for an underlying security triggers a specific offer for all securities giving access to the capital such as convertibles, warrants and mandatories

Corporate
and Investment
Banking

Convertible bonds

- **Protection measures for change-of-control scenarios**
  - Ratchet clause = temporary modification of the conversion ratio/price
    - ratio enhancement that enables the holder to take part in the offer, even when the convertible bond still carries a premium
  - Put for change of control
    - Holders are temporarily able to request early redemption in principle at accreted value
    - This is the counter-part of the change in the issuer's nature
  - Existing regulatory provisions allowing CBs to be directly covered by specific offers
    - the highest possible level of protection?

Convertible bonds

- **The RATCHET clause**
  Temporary enhancement of the conversion ratio
    - Allows holders to be reimbursed for part of the issue premium or a part of the difference between share price at issue and the offer price
    - Attractive for convertibles showing low premiums which are sufficiently sensitive to the share price to benefit from the enhanced ratio
    - <u>Totally ineffective for bond-type CBs</u>
  - General information
    - the ratchet clause is limited to successful offers and comes into effect only after the offer is closed, ie in the event of a "change of control"
    - generally within 60 days following the notification of a change of control

Different types of ratchet clauses

- **Premium amortization over time**
  - Fixed steps
    - enhancement level is fixed for each year (in price/ratio or in % of enhancement)
  - Continuous remaining time against total time
    - Based on remaining time relative to the total life of the CB
    - In theory, this gives less protection than the simple case, although the investor is sure that the basis for calculation is the premium actually paid at issue and not a lower level as was the case with the Continental 2011
- **Enhancement on the basis of the share price**
  - enhancement according to share at issue versus the offer price
  - The higher the offer price, the lower the enhancement and vice-versa
- **Enhancement based on time and share price**
  - compensation premium e.g. Tiscali 4.25% 2006
  - the most logical but not the most generous !

Ratchet / Fixed steps

- **Heidelberger Druckmachinen 0.875% 12**
  - Nominal 100 000 €
  - Conversion ratio 2 539.93
  - Conversion price 39.37€
  - Premiumat issue 44.22%
  - Ratchet clause

until 1er Feb 2006		3532.68	39%
2-Feb-06	1-Feb-07	3311.88	30%
2-Feb-07	1-Feb-08	3117.07	23%
2-Feb-08	1-Feb-09	2943.9	16%
2-Feb-09	1-Feb-10	2788.96	10%
2-Feb-10	1-Feb-11	2649.51	4%
2-Feb-11	1-Feb-12	2523.34	-1%

- In this example, premium at issue is never completely reimbursed

Ratchet / Fixed steps

- **Some examples: 40 stocks**

3i Group 1.375%€ 08	Man Group 3.75% 09
ABB 4.625% $ 07	Numico 3% 10
Adidas 2.5% 18	Numico 4.25% 05
Anglo American 3.375% $ 07	OMV 1.5% 08
Anglogold 2.375% $ 09	Qiagen 1.5% $ 24
Buhrmann 2% 10	Rank 3.875% 09
Cable & Wireless 4% 10	Scottish & Southern Energy 3.75% 2009
Continental 1.625% 11	Scottish Power 4% $ perpetual
Elan 6.5% $ 08	Serono 0.5% 08
Friends Provident 5.25% 07	SGL Carbon 3.5% 08
GBL 2.95% 12	Siemens 1.375% 10
Hagemeyer 3.5% 12	Sol Melia 4.3% 08
Hagemeyer 5.75% 09	Standard Chartered 4.5% € 10
Heidelberger Druck 0.875% 12	Suedzucker 3% 08
Hilton Group 3.375% 10	TUI 4% 08
Infineon 4.25% 07	Versatel 3.875% 2011
Infineon 5% 10	VNU 1.75% 06
Linde 1.25% 09	Voestalpine 1.5% 10
LogicaCMG 2.875% 08	WPP 2% 07
Lufthansa 1.25% 12	Xstrata 3.95% 10

BNP PARIBAS Equities & Derivatives
Corporate and Investment Banking

Ratchet / Fixed steps

- **Other variations**
  - Ratchet mechanism triggered off by the % of cash in the offer
    - e.g. VNU 1.75% 2006 and Wolters Kluwer 1% 2006
    - comes into effect only when the % of cash exceeds 25% of the total consideration
    - lower level of protection than traditional fixed-ratchet
  - Payment in cash for additional shares created
    - e.g. Cable & Wireless 4% 2010
    - no reduction in the protection offered

BNP PARIBAS Equities & Derivatives
Corporate and Investment Banking

Ratchet / Continuous

- **Valeo 2.375% 2011**

  - $\boxed{NCR = OCR \times (1 + (PC \times C/T))}$

    - NCR (OCR) new conversion ratio (old)
    - PC conversion premium at issue 44%
    - C remaining time between adjustment and maturity
    - T total life of the EQL in days 2707 d

  - Calculation the day after the issue date: 44% enhancement

  - Calmculation at 1st Dec 05: 31.4% enhancement

Corporate and Investment Banking

Ratchet / Continuous

- **Some examples: 11 stocks**

ABB 3.5% 10	Publicis 0.75% 08
Adecco 0% 13	Publicis 1% 18
Cap Gemini 1% 12	SkyePharma 6% 24
Holcim 1% 12	SkyePharma 8% 25
Holcim 0% $ 17	Valeo 2.375% 11
Lonza 1.5% 09	

  - Note on Adecco 0% 2013 The ratchet is only triggered if:
    - more than 25% of the offer is in cash
    - offer announcement before 10 August 2010
    - lower level of protection

  - This list features 4 French issues !

Corporate and Investment Banking

Ratchet / factoring in the share price

- **BAA 2.94% 2008**
  - NCP = OCP / (A% x C/B)
    - A% average convertible price in % of the face value for the calculation period
    - C average conversion price during the calculation period
    - B average share price during the calculation period
  - Levels reminder
    - Equity price at issue 666p
    - Current equity price 617.5p
    - Premium at issue 20.1%
  - Calculations (every things being equal)
    - Offer at 500p 62% enhancement
    - Offer at 666p 21% enhancement
    - Offer at 700p 15% enhancement
  - Ratio is increased by the level of conversion premium before adjustment!

Corporate and Investment Banking

Ratchet / factoring in the share price

- **Other variations**
  - Calculation period
    - average market prices over a period of 30 days ending 5 days before offer opening (offer resulting in a change of control)
    - the time period for Itl Power 3.75% $ 23 lasts 12 months !!!
  - fixed foreign exchange rate
    - exchange rate for calculations = exchange rate fixed at issue
    - may have significant reducer/ multiplier effects following changes in € / $ and € / GBP rates
    - Example: Corus 3% € 2007:
    - The share price used for the calculation is based on an exchange rate at issue of £1=€0.6948
    - With a current exchange rate of £1=€0.6948, the enhancement would be lower

Ratchet / factoring in the share price

- **Some examples: 7 issues**

BAA 2.625% 09	International Power 3.75% $ 23
BAA 2.94% 08	Legal and General 2.75% 06
Corus 3% 07	Xstrata 3.95% 10
EMI 1.5% $ 10	

- A clause that gives extremely high protection, since it does not take into account time since the issue

- Exchange rate / average share price
  - Corus — issue level 1£= 1.5968€
  - EMI — issue level 1£=1.5957$
  - Xstrata — current rate
  - Itl Power — current rate

Corporate and Investment Banking

Ratchet / Compensation premium

- **Tiscali 4.25% 2006**

NCP = OCP - (CP / OCR)

OCP	7.57	old conversion price
OCR	132.1004	old conversion ratio

CP = K² x (nominal - IP - IY) x T/C

K	0.5232321	lower of IP/TV or TV/IP
IP	757.41	equity equivalent of par value at issue
TV	396.3012	offer value for 1 CB ie offer value x 132.1004
IP/TV	1.9111978	
TV/IP	0.5232321	
nominal	1000	

IY = ((4.25% x nominal) - (dividend x OCR)) x C/365

coupon	4.25%	
dividend	0	last dividend paid before change of control
C	1096	total life of the CB in days
IY	127.61644	
T	601.000	residual life in days (not including matuirty date)
date	2/1/2005	
maturity	9/25/2006	
CP = K² x	17.26039	

NCP	7.44
Premium offe	2%

Calculation assumptio

Share price at issue
5.73
share price today
2.41
value of the offer
3

Corporate and Investment Banking

BNP PARIBAS
Equities & Derivatives

Ratchet / Compensation premium

- **The most intellectually satisfactory ratchet clause**
  - Takes into account time, the offer level versus the share price at issue, and the difference in yield between convertibles and underlyings
  - Modification period only 30 days

- **However, this clause leads to reduced enhancement**
  - Based on the same assumptions than in the calculation on the previous page:

– ratchet on CP	enhancement	2%
– continuous ratchet	enhancement	13.6%
– Share-price based ratchet	enhancement	57% !!!!! offer < share price at issue

  - Note that the premium on Tiscali is currently 261% !

Corporate and Investment Banking

BNP PARIBAS
Equities & Derivatives

Convertible bonds

- **Put for change of control**
  Exit at accreted value
  - This clause is typically used for bond-type EQL, for which enhancement of the conversion ratio or price will have no impact, since the premium is too high at the time of the offer
  - It allows redemptions at accreted value (par or value that factors in the bond' yield to maturity offered at issue)

- General Information
  - The clause is only triggered after on offer closes successfully ie in the event of a change of control
  - In our sample, exercise windows are between 20-90 days after notification of the change of control

Corporate and Investment Banking

Convertible bonds

- **Put for change of control (total of 61 securities)**

ASML 5.75% 06	International Power 3.75% $ 23	SkyePharma 6% 24
Buhrmann 2% 10	Legal and General 2.75% 06	SkyePharma 8% 25
Cap Gemini 2.5% 10	Lonza 1.5% 09	Sol Melia 4.3% 08
Cap Gemini 1% 12	Lufthansa 1.25% 12	STM 0% $ 13
Casino (Rallye) 3.25% 13	Numico 3% 10	Suedzucker 3% 08
Corus 3% 07	Numico 4.25% 05	Swiss Re 3.25% 2011-21
Daimler (UBS) 4.35% 10 - ORA	Old Mutual 3.625% 05	Tiscali 4.25% 06
Delhaize 2.75% 09	OMV 1.5% 08	TMM (Carlton) 2.25% 07
Elan 6.5% $ 08	Portugal Telecom 2% 06	TUI 4% 08
EMI 1.5% $ 10	Publicis 0.75% 08	UBM 2.375% 06
GBL 2.95% 12	Publicis 1% 18	Versatel 3.875% 2011
Hagemeyer 3.5% 12	Qiagen 1.5% $ 24	VNU 1.75% 06
Hagemeyer 5.75% 09	Rallye 3.75% 08	Voestalpine 1.5% 10
Heidelberger Druck 0.875% 12	Rank 3.875% 09	Wegener 5.5% 05
Heidelberger Druck (RWE) 0% 07	Remy 3.5% 06	Wolters Kluwer 1% 06
Hochtief (RWE) 0.875% 07		

Corporate and Investment Banking

Convertible bonds

- **French type regulatory provisions**
  An ideal level of protection ?
  - An offer for convertible or OCEANE bonds is automatically triggered in the event of an offer for the underlying security. These bonds are therefore subject to special offers
  - The offer must be accepted by the AMF-the Authorité des Marchés Français ie the French stock market regulatory body which ensures adequate level of holder protection
  - There are therefore no directives regarding takeover protections in French prospectuses
  - However, some issuers such as the following companies have added their own guidelines:
    - Accor, Cap Gemini, Publicis, Rallye , Valeo and STM

Corporate and Investment Banking

BNP PARIBAS
Equities & Derivatives

Corporate
and Investment
Banking

Convertible bonds

- **French regulatory provisions**
  An ideal level of protection ?

  - A multi-criterion approach based on
    - conversion value
    - share price
    - yield to maturity
    - bond theoretical value
  - Similar regulatory provisions apply to the following countries
    - Spain
    - Belgium
  - There are however no clear directives regarding rules or guidelines for the following countries
    - Luxembourg, Italy, NL, UK

BNP PARIBAS
Equities & Derivatives

Corporate
and Investment
Banking

French regulatory provisions

- **Additional clauses: holder over-protection?**

Name	Ratchet	Put for change of control	loss of equity upside	Hard call for cash offer	Share settlement	Cash-out option
Cap Gemini 2.5% 10		100				
Cap Gemini 1% 12	R continuous	2.875%				
Delhaize 2.75% 09		100	(take care of Belgian legislation for PUT)			
GBL 2.95% 12	conversion + Make Whole Amount	100 + Make Whole Amount	(take care of Belgian legislation FOR PUT + RATCHET)			
Publicis 0.75% 08	R continuous	100				
Publicis 1% 18	R continuous	2.75%				
Rallye 3.75% 08		5.50%				
Sol Melia 4.3% 08	R fixed <<premium	100				YES
STM 0% $ 13		-0.5%-cf details				
Valeo 2.375% 11	R continuous					

BNP PARIBAS
Equities & Derivatives

Corporate and Investment Banking

Convertible bonds

- **Other points to check carefully**
  - Clean-up clauses
  - Share settlement
  - Cash-out options
  - Squeeze-out offer regulations

BNP PARIBAS
Equities & Derivatives

Corporate and Investment Banking

Convertible bonds

- **Most protective situations**
  - Ratchet (based on share price) + put for change of control

Corus 3% 07
EMI 1.5% $ 10
International Power 3.75% $ 23
Legal and General 2.75% 06

  - Convertibles with French, Belgium and Spanish underlying securities
  - Ratchet (other types) + put for change of control

ABB 3.5% 10	Infineon 4.25% 07	Scottish Power 4% $ perpetual
ABB 4.625% $ 07	Infineon 5% 10	Serono 0.5% 08
Adidas 2.5% 18	Lonza 1.5% 09	SGL Carbon 3.5% 08
Buhrmann 2% 10	Lufthansa 1.25% 12	SkyePharma 6% 24
Cap Gemini 1% 12	Numico 3% 10	SkyePharma 8% 25
Elan 6.5% $ 08	Numico 4.25% 05	Sol Melia 4.3% 08
GBL 2.95% 12	OMV 1.5% 08	Suedzucker 3% 08
Hagemeyer 3.5% 12	Publicis 0.75% 08	TUI 4% 08
Hagemeyer 5.75% 09	Publicis 1% 18	Versatel 3.875% 2011
Heidelberger Druck 0.875% 12	Qiagen 1.5% $ 24	VNU 1.75% 06
Holcim 0% $ 17	Rank 3.875% 09	Voestalpine 1.5% 10
Holcim 1% 12		

Convertible bonds

- **Least protective situations**
  - No regulatory provisions + no other clauses

Alitalia 2.9% 07
Bca Pop di Lodi 4.75% 10
Finmeccanica 2% 05
Nestlé 0% 08
Northern Foods 6.75% 08
Olivetti 1.5% 10
Roche 0% $ 21

2. Exchangeable bonds

Accept / reject an offer

Definitive alteration of the Exchange Property

Treatment in case of any loss of equity sensitivity

Early redemptions

Exchange right suspensions

BNP PARIBAS
Equities & Derivatives

Exchangeable bonds

- **Specific issues**
  - Conditions that enable the issuer to accept or reject an offer
  - Definitive alteration in the “Exchange Property” (EP)
  - Treatment of any loss of equity sensitivity (all cash or partly cash offers)
  - Early redemptions
  - Exchange suspensions

Corporate and Investment Banking

BNP PARIBAS
Equities & Derivatives

Exchangeable bonds

- **Accepting or rejecting an offer**
  At the issuer’s absolute discretion
  - Some common restrictions
    - the issuer’s decision shall apply to all underlying shares of the EB
    - the issuer’s decision shall apply to its entire shareholding
    - the issuer should wait for the last day / last few days of the offer period to take its decision
  - Exceptional restrictions
    - offers may only be accepted if they exceed the EP value
    - issuer should prefer offers with more shares than cash consideration
    - example: Fortis (Suez) 4.5% 2006 – mandatory exchangeable

Corporate and Investment Banking

BNP PARIBAS
Equities & Derivatives

Exchangeable bonds

- **Accepting or rejecting an offer**
  At the discretion of EB holders or shareholders

  - At the discretion of EB holders: Hellenic Finance
    - OTE (Hellenic Finance) 2% 2005
    - Also existed on former Hellenic Finance issues
  - At the option of holders of the underlying securities
    - TI (Tecnost) 1% 05: the EP becomes the offer consideration in the following circumstances:
      1- the issuer has accepted the offer
      2- this issuer gives notification of having rejected the offer or gives no notification, but shareholders have accepted it
      3- this issuer gives notification of having rejected the offer or gives no notification, but the offer is compulsory
    - Bca Intesa (Medio) 2% 06: the EP becomes the offer consideration only if:
      1- shareholders have accepted the offer
      2- the offer is compulsory

Corporate and Investment Banking

Exchangeable bonds

- **Accepting or rejecting an offer**
  Offer directly from the underlying company

  - In general, the issuer cannot vote for an offer coming from the underlying itself
  - Lagardère case:
    - issuer prohibited from voting on offers from the underlying company and its associates (in this case, DT which held 73% of the underlying shares).

Corporate and Investment Banking

Exchangeable bonds

- **Modifications in Exchange Property (EP)**
  The issuer has accepted the offer or is deemed to have accepted

  What will the holder receive at exchange?

  - An all-share offer
    - Shares received as offer consideration, depending on the offer ratio
  - An offer with a cash component
    - possibility of full or partial loss of equity sensitivity
    - The various prospectuses feature a range of possibilities

    1- cash is systematically reinvested into shares or other types of securities
    2- cash received + compensation premium is paid at the time of the exchange
    3- cash consideration is placed and holders will receive at exchange date this cash part of the offer + its interests
    4- none of the above

Corporate and Investment Banking

Exchangeable bonds

- **Modifications in Exchange Property (EP)**
  The issuer has accepted the cash offer

  - Cash reinvestment: the commonest and simplest approach
    - 1- cash reinvested into shares that form part of the offer
    - 2- if 1 impossible, cash reinvested into shares of the buyer
    - 3- if neither 1 nor 2 is possible, the following may be proposed
      - Cash reinvested in an equity index
      - Cash reinvested in securities representing an equity index
      - Cash reinvested in shares selected at the issuer's discretion
      - Cash reinvested in government bonds
    - If other securities (such as unlisted assets) form part of the offer consideration, the issuer has usually to to sell them and use the proceeds according to guidelines described above

Corporate and Investment Banking

Exchangeable bonds

- Cash reinvestment: some examples

Allianz (Munich Re) 1% 05	RI_all equity	RWE (Allianz) 1.25% 06	RI_all equity
Amadeus (Lufthansa) 2.25% 06	RI_Bonds included	RWE (Dusseldorf) 1.75%	RI_all equity
Bca Intesa (Mediobanca) 2% 06	RI_Bonds included	Sogecable (VU) 1.75% 08	RI_all equity
Cap Gemini (Wendel) 2% 09	RI_all equity	Swisscom (Swiss Gvt) 0% 05	Possible_RI_all equity
Casino (Rallye) 3.25% 06	RI_all equity	Swisscom (Swiss Gvt) 0% 06	Possible_RI_all equity
Casino (Rallye) 3.25% 13	RI_all equity	Swisscom (Swiss Gvt) 0.25% 07	Possible_RI_all equity
Ciments Français (Medio) 2% 06	RI_Bonds included	Telecom Italia (Tecnost) 1% 05	RI_Bonds included
Daimler (UBS) 4.35% 10 - ORA	RI_all equity	TIM or SEAT (Telecom Italia) 1% 06	RI_Bonds included
Deutsche PostBank (Deutsche Post) 2.65% 07	RI_all equity	TMM (Carlton) 2.25% 07	RI_all equity
Endesa (Caïxa) 0.25% 06	RI_all equity	Vinci (VU) 1% 2006	RI_all equity
Norilsk (UBS) 0% $ 06	RI_Bonds included	Vodafone (BAe) 3.75% 06	RI_Bonds included
OTE (Hellenic Finance) 2% 05	RI_all equity	Wienerberger (Bk Austria) 1.25% 07	RI_all equity
Repsol (Pemex) 4.5% $ 11	RI_all equity	Xstrata (Glencore) 4.125% 10	RI_all equity
Rolls Royce (BMW) 1.875% 08	RI_all equity		

Corporate and Investment Banking

BNP PARIBAS
Equities & Derivatives

Exchangeable bonds

Modifications in Exchange Property (EP)
The issuer has accepted the cash offer

- Payment of cash received + a compensation premium (CP)
  - Compensation premium – full version
    - takes into account time, the offer level compared to the share price at issue and the difference in yield between the EQL and the underlying
  - CP will be at most equal to the premium paid at issue
  - CP may be different in the event of an alternative all-cash and cash-and-share offers (PCA1 and PCA2)

Corporate and Investment Banking

Exchangeable bonds

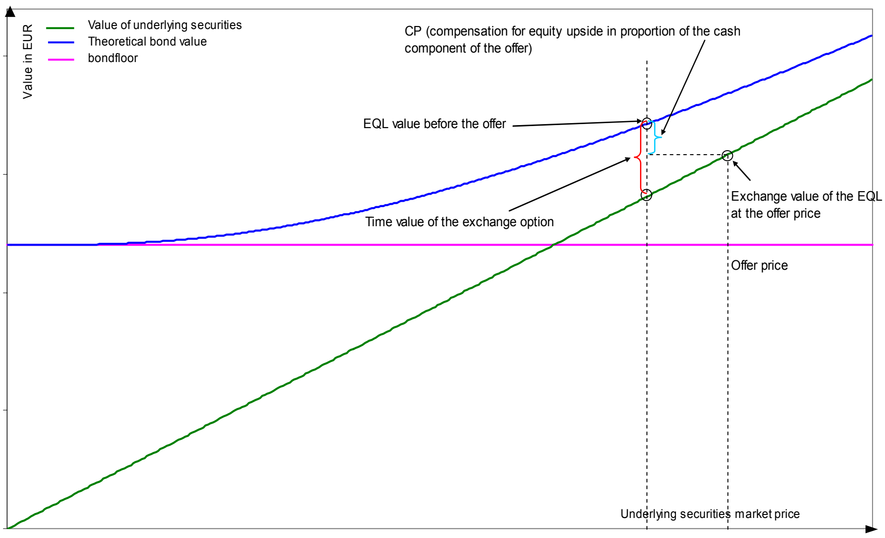
- Basic compensation premium

Compensation premium (per bond) $= K^2 \times \frac{T}{D} \times$ (bond issue price - exchange value at issue) $\times \frac{C}{C+E}$

Description	Calculation	Comments
Basis for calculating	bond issue price - exchange value at issue	CP is at most equal to the premium at issue
weighting according to share price at issue and at the time of the offer	K^2 where $K = \text{Min}\left\{\frac{\text{share price at issue}}{\text{share price at the ime of the offer}}, \frac{\text{share price at the ime of the offer}}{\text{share price at issue}}\right\}$	This factor decreases when the share price at the time of the offer moves away from the value of the share at issue NB: 0<K<1
weighting by residual life	$\frac{T}{D} = \frac{\text{residual life at the time of the offer}}{\text{Total life of the bond}}$	This factor allows the passing of time to be taken into account
weighting by the proportion of the offer paid in cash	$\frac{C}{C+E} = \frac{\text{proportion of the offer paid for in cash}}{\text{total consideration (C [Cash] + E [Equity])}}$	This factor allows the proportion of the offer paid in cash versus the one paid in equity securities to be taken into account

Exchangeable bonds

- Compensation premium diagram



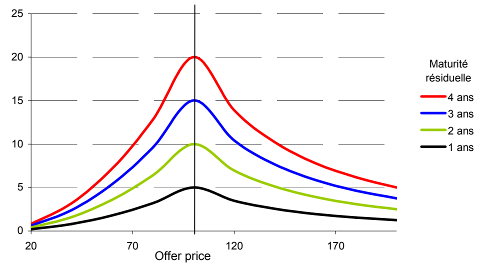
BNP PARIBAS
Equities & Derivatives

BNP PARIBAS
Equities & Derivatives

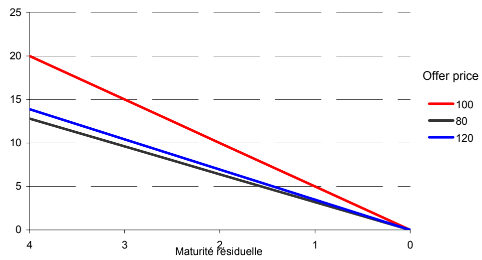
Exchangeable bonds

- Compensation premium diagram
  - Example: 4-year initial lifespan; face value: €120; Share price at issue: €100

Value of the CP depends on the value of the bid by comparison with the share price at issue



Value of the CP depends on residual life of the bond



- If an offer is launched on the business day following issue at the reference price, the issuer shall return the entire premium paid by holders the day before (at exchange)

BNP PARIBAS
Equities & Derivatives

Exchangeable bonds

- Calculating advanced compensation premium (where **IY** stands for Yield difference)

Compensation premium (per bond) $= K^2 \times \frac{T}{D} \times$ (bond issue price - exchange value at issue - IY)

Description	Calculation	Comments
Basis for calculating	bond issue price - exchange value at issue	CP is at most equal to the premium at issue
weighting according to share price at issue	K2, where $K = \text{Min}\left\{\frac{\text{share price at issue}}{\text{share price at the ime of the offer}}, \frac{\text{share price at the ime of the offer}}{\text{share price at issue}}\right\}$	This factor decreases when the share price at the time of the offer moves away from the value of the share at issue NB: 0<K<1
weighting by residual life	$\frac{T}{D} = \frac{\text{residual life at the time of the offer}}{\text{Total life of the bond}}$	This factor allows the passing of time to be taken into account
weighting by the proportion of the offer paid in cash	$\frac{C}{C+E} = \frac{\text{proportion of the offer paid for in cash}}{\text{total consideration}}$	This factor allows the proportion of the offer paid in cash versus the one paid in equity securities to be taken into account
Bond/equity yield difference over life	IY = (YTM x par value - dividend x exchange ratio) x D	
Bond/equity yield difference over residual life	IY' = (YTM x par value - dividend x exchange ratio) x T	

Exchangeable bonds

- Cash payments + Compensation premium: 11 examples

Name	loss of equity upside
Aventis (Ergo) 0.75% 06	PC
BNL (BMPS) 1% 09	PC - ends call date
E.On (Ergo) 2.25% 06	PC
Generali (Capitalia) 1.625% 09	PC - ends call date
Generali (Unicredito) 2.5% 08	PC - ends call date
Heidelberger Druck (RWE) 0% 07	PCA1 & PCA2
Hochtief (RWE) 0.875% 07	PCA1 & PCA2
LVMH (FA) 0% 06	PC
STM (Finmeccanica) 0.375% 10	PC-ends call date
Telekom Austria (OIAG) 1.125% 06	PCA1 & PCA2
Voestalpine (OIAG) 1.5% 06	PCA1 & PCA2

Exchangeable bonds

Modifications in Exchange Property (EP)
The issuer has accepted the <u>cash offer</u>

- Cash payments + the interests on this amount in cash
  - no protection offered against loss of stock sensitivity !!!!

- Examples:

Deutsche Telekom (KFW) 0.75% 08
Deutsche Post (KFW) 0.875% 07

BNP PARIBAS
Equities & Derivatives

Exchangeable bonds

Modifications in Exchange Property (EP)
The issuer has accepted the <u>cash offer</u>

- No directives in the prospectus !
- Some examples:

Axa (Finaxa) 3% 07
Fortis (Suez) 4.5% 06 - ORA-

  - The Suez mandatorily exchangeable into Fortis shares, prospectus only stated that should the offer contain unlisted securities, the latter should be sold and replaced by cash in the EP

Corporate
and Investment
Banking

BNP PARIBAS
Equities & Derivatives

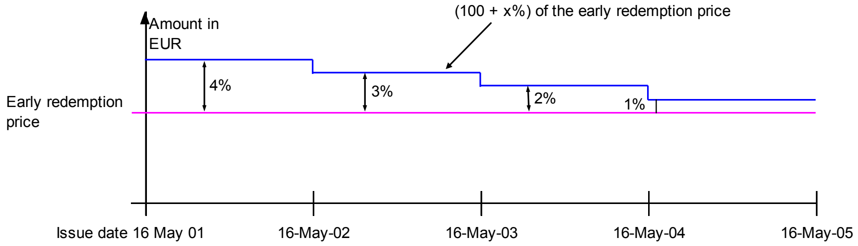
Exchangeable bonds

- **Early redemptions in case of cash offers**
  (all-cash or part-cash offer)
  - Issuer may redeem at the highest of (<u>Hard call</u>)
    - 1- cash + compensation premium (PCA3 type)
    - 2- accreted value
    - the threshold percentage of cash redemption required for this clause to become effective is also indicated (85% to 100%)
  - Issuer <u>HAS TO</u> call for early redemption at the highest of
    - 1- cash received through offer
    - 2- accreted value + a bonus paid depending on the bond's residual life
  - A holder's put option
    - the threshold percentage of cash proportion required for this clause to become effective is usually indicated (85% to 100%)

Corporate
and Investment
Banking

Exchangeable bonds

- **Early redemptions in case of cash offers**
  (all-cash or part-cash offer)
  - Issuer HAS TO call for early redemption at the higher of …..
    - PPR (Artemis) 1.5% 2007 (idem for Bouygues (Artemis) and Valeo (Wendel))



- if the offer is launched near the issue date: 4% bonus is insufficient

Exchangeable bonds

Corporate and Investment Banking

- **Suspension of exchange rights**
  - To avoid possible confusion during the offer acceptance/rejection period
    - the issuer may choose to suspend exchange rights a few days before the decision in order to determine the precise number of underlyings it can tender to the offer
    - Usually, it can only take a decision on the last offer opening day
  - In case the offer is accepted
    - the issuer should give notice of its decision as soon as possible
    - the issuer should suspend all exchanges in order to avoid delivering underlying stocks that it has tendered

Exchangeable bonds

Most protective situations

Reinvestment in shares + holder's put option

- Simple to organize
- However, a problem remains: what's the volatility, distribution policy, growth potential, etc of the new underlying ????

Name	Put for change of control	loss of equity upside
Casino (Rallye) 3.25% 13	4.75%	RI_all equity
Daimler (UBS) 4.35% 10 - ORA	Relevant ratio + AI + discounted coupons	RI_all equity
Repsol (Pemex) 4.5% $ 11	100 if cash>95%	RI_all equity
RWE (Dusseldorf) 1.75%	100 if cash>90%	RI_all equity
TMM (Carlton) 2.25% 07	100 if cash>95%	RI_all equity

Corporate and Investment Banking

Exchangeable bonds

Most protective situations

Compensation premium + holder's put option

- more complex
- but genuinely correspond to a refund of the premium paid
- Note that some compensation premiums do not cover the entire period up to maturity
  - but may terminate on the call day,
  - e.g.Siemens (Allianz) + Infineon (Siemens).

Name	Put for change of control	loss of equity upside
Heidelberger Druck (RWE) 0% 07	100 if cash>90%	PCA1 & PCA2
Hochtief (RWE) 0.875% 07	100 if cash>90%	PCA1 & PCA2

Corporate and Investment Banking

Exchangeable bonds

- **Least protective situations**
  - **No reinvestment in shares + no holder's put + share settlement**

Deutsche Telekom (KFW) 0.75% 08
Deutsche Post (KFW) 0.875% 07

Corporate and Investment Banking

Exchangeable bonds

- **Other important features**
  - Liquidity clauses (clean-up clause)
    - This ensures that when more than 85-90% of the bonds have disappeared, the issuer may launch early redemption at a price potentially lower than the offer price
  - Share Settlement
    - the issuer pays the redemption price in equivalent number of shares
  - Cash-out option
    - the issuer pays in equivalent cash the conversion value
  - Squeeze-outs

Corporate and Investment Banking

Name	Type of product	Subordinated	Issuer absolute discretion	Ratchet	Put for change of control	loss of equity upside	Hard call for cash offer	Share settlement	Cash-out option	call date	call price	call trigger	clean-up call	put date	put price

TAKEOVER PROTECTION CLAUSES

Name	Type of product	Subordinated	Issuer absolute discretion	Ratchet	Put for change of control	loss of equity upside	Hard call for cash offer	Share settlement	Cash-out option	call date	call price	call trigger	clean-up call	put date	put price
3i Group 1.375%€ 08	C			R fixed				Mat	YES				10%		
ABB 3.5% 10	C			R continuous	100				YES	10-Sep-07	100	150	15%		
ABB 4.625% $ 07	C			R fixed	100				YES	16-May-05	100	170	15%		
Accor 1% 07	C												10%		
Accor 1.75% 08	C									1-Feb-05	100	110	10%		
Adecco 0% 13	C			R continuous if cash>25% and before 2010						26-Aug-10	1.50%		15%	26-août-10	1.50%
Adidas 2.5% 18	C			R fixed <premium	100				YES	8-oct-09 8-oct-12 8-oct-15	100 100 100	130 115 NONE	10%	8-Oct-2009 8-Oct-2012 8-Oct-2015	100 100 100
Aegis 2% € 06	C			R fixed - no more active	3.875%					29-May-05	3.875%	120	10%		
Air France 2.75% 20	C									1-Apr-20	100	130	10%	1-Apr-12 1-Apr-16	100
Alcatel 4.75% 11	C									12-Jun-08	100	125	10%		
Alitalia 2.9% 07	C									23-Jan-05	100	140			
Allianz (Munich Re) 1% 05	E		YES			RI_all equity			YES	9-Jun-03	100	130			
Altran 3.75% 2009	C									1-Jan-07	100	130	10%		
Amadeus (Lufthansa) 2.25% 06	E		YES			RI_Bonds included			YES	25-Jul-04	100	130	10%		
Anglo American 3.375% $ 07	C			R fixed						9-May-05	100	130	15%		
Anglogold 2.375% $ 09	C			R fixed						14-Mar-07	100	130	15%		
Arcelor 3% 17	C				cf details				YES	27-Jun-07	100	130	10%	27-Jun-2007 27-Jun-2012	100
ASML 5.5% 10	C	YES			100				YES	27-May-06	100	150			
ASML 5.75% 06	C	YES			100				YES	22-Oct-04	100	130			
Aventis (Ergo) 0.75% 06	E		YES			PC			YES	28-Sep-04	100	130			
Axa (Finaxa) 3% 07	E												10%		
Axa 2.5% 14	C	YES								1-Jan-05	4.45%	125	10%-cf details		
Axa 3.75% 17	C	YES								1-Jan-07	6%	125	10%-cf details		
BAA 2.625% 09	C			R equity						2-Jul-07	100	130	15%		
BAA 2.94% 08	C			R equity						18-Apr-06	100	130	15%		
Bca Intesa (Mediobanca) 2% 06	E		NO (shareholders)			RI_Bonds included			YES	28-Jun-04	3%	125			
Bca Pop di Lodi 4.75% 10	C	YES								15-Jun-05	100	135			
BNL (BMPS) 1% 09	E		YES			PC - ends call date			YES	29-Jul-07	100	130	15%		
Bouygues (Artemis) 1.5% 08	E		YES			Compulsary redempt		YES	YES	26-Jun-06	5.25%	130	10%		
Buhrmann 2% 10	old	YES		R fixed <premium	100					9-Jul-08	100	150	15%		
Cable & Wireless 4% 10	C			R fixed					YES	16-Jul-07	100	130	15%		
Cap Gemini (Wendel) 2% 09	E		YES			RI_all equity		Mat	YES				10%		
Cap Gemini 2.5% 10	C				100					2-Jul-07	100	125	10%		
Cap Gemini 1% 12	C			R continuous	2.875%					24-Jun-09	2.875%	130	10%		
Casino (Rallye) 3.25% 06	E		YES			RI_all equity				1-Feb-04	5%	130	10%		
Casino (Rallye) 3.25% 13	E		YES		4.75%	RI_all equity		YES	YES	1-Jul-06	4.75%	125	10%		
Cegid 2.5% 06	C									1-Jan-03	5.62%	120	10%		
Ciments Français (Medio) 2% 06	E		YES			RI_Bonds included			YES	18-Sep-04	3.88%	125		18-sept.-04	3.875%
Club Med 3% 08	oceane									30-Apr-06	5.25%	130	10%	30-avr.-06	5.25%
Club Med 4.375% 10	oceane									1-Nov-07	100	120	10%		
Continental 1.625% 11	C			R fixed <premium					YES	19-May-09	100	130	15%		
Corus 3% 07	C			R equity	4.75%					11-Jan-05	4.75%	130 130	15%		

Name	Type of product	Subordinated	Issuer absolute discretion	Ratchet	Put for change of control	loss of equity upside	Hard call for cash offer	Share settlement	Cash-out option	call date	call price	call trigger	clean-up call	put date	put price
TAKEOVER PROTECTION CLAUSES															
Daimler (UBS) 4.35% 10 - ORA	Mand		YES		Relevant ratio + AI + discounted coupons	RI_all equity			YES				10%		
Danone 1.7% 07	C									1-Jan-05	100	130	10%	19-Jun-2003 19-Jun-2004 19-Jun-2005	100
Delhaize 2.75% 09	C				100	(take care of Belgian legislation for PUT)				15-May-07	100	130	15%		
Deutsche Post (KFW) 0.875% 07	E		YES			Nothing_Eonia			YES	9-Jan-06	100	130	15%		
Deutsche PostBank (Deutsche Post) 2.65% 07	E		cf details			RI_all equity			YES	2-Jul-06	100	130			
Deutsche Telekom (KFW) 0.75% 08	E		YES			Nothing_Eonia		YES	YES	8-Aug-06	100	120	15%		
E.On (Ergo) 2.25% 06	E		YES			PC			YES	28-Sep-04	100	130			
Elan 0% $ 18	C	YES			no more active			Put	YES	10-Dec-03	3.25%	NONE		10-Dec-03 10-Dec-08 10-Dec-13	3.25%
Elan 6.5% $ 08	old			R fixed if cash > 35%	100					10-Nov-03	100	150			
Elior 1% 07	C									28-Jun-04	3.88%	115	10%		
EMI 1.5% $ 10	old			R equity	100			YES		16-Oct-07	100	130	15%		
Endesa (Caïxa) 0.25% 06	E		YES			RI_all equity			YES	17-Jul-05	100	130	10%		
Essilor 1.5% 10	C									2-Jul-08	2.125%	130	10%	2-juil.-08	2.125%
Finmeccanica 2% 05	C							Mat	YES	8-Jun-03	3.25%	130			
Fortis (Suez) 4.5% 06 - ORA	M		NO			No cash RI									
Fortis Fresh perpétuel	Hybride	YES				cf details									
France Telecom 1.6% 09	C									1-Jan-07	100	130	10%		
Friends Provident 5.25% 07	C			R fixed				Mat	YES	27-Dec-05	100	130	15%		
GBL 2.95% 12	C			conversion + Make Whole Amount	100 + Make Whole Amount	(take care of Belgian legislation FOR PUT + RATCHET)				11-May-08	100	130	15%		
Gedeon Richter (APV) 1% € 09	E		NO					Mat----as exchange only at maturity	Mat----as exchange only at maturity						
Generali (Capitalia) 1.625% 09	E		YES			PC - ends call date			YES	23-May-07	100	130	15%		
Generali (Unicredito) 2.5% 08	E		YES			PC - ends call date			YES	3-Jan-07	100	130	15%		
Givaudan 1% $ 06	C			R fixed-cf details					YES	21-juin-04	4.00%	130	15%	7-sept.-03	4.00%
Hagemeyer 3.5% 12	C	YES		R fixed	100				YES	13-Apr-09	100	130			
Hagemeyer 5.75% 09	C	YES		R fixed	100				YES	19-Feb-07	100	130			
Havas 1% 06	C									1-Jan-04	4.25%	115	10%		
Havas 4% 09	C									1-Jan-05	100	125	10%	no more	
Heidelberger Druck 0.875% 12	C			R fixed	3%					9-Feb-08	3%	130	8.9%	9-févr.-10	3%
Heidelberger Druck (RWE) 0% 07	E		YES		100 if cash>90%	PCA1 & PCA2		Mat	YES	22-Jun-06	100	120	10%		
Hilton Group 3.375% 10	C			R fixed <premium				YES	removed	23-Oct-08	100	130	15%		
Hochtief (RWE) 0.875% 07	E		YES		100 if cash>90%	PCA1 & PCA2			YES	20-Apr-06	100	120	10%		
Holcim 1% 12	old			R continuous if cash>25% and before 1st call	2.50%				removed	10-Jun-07	2.50%		10%	10-jun-07 10-jun-09	2.50%
Holcim 0% $ 17	old			R continuous if cash>25% and before 1st call	4%				removed	10-Jun-08	4%		10%	15-Jan-06 10-June-08 10-June-10 10-June-14	4%
Infineon (Siemens) 1% 05	E		YES			no more PC	YES-85%		YES	12-Aug-03	2%	115	15%		

Name	Type of product	Subordinated	Issuer absolute discretion	Ratchet	Put for change of control	loss of equity upside	Hard call for cash offer	Share settlement	Cash-out option	call date	call price	call trigger	clean-up call	put date	put price
TAKEOVER PROTECTION CLAUSES															
Infineon 4.25% 07	C	YES		R fixed	100				YES	6-Feb-05	100	115	20%		
Infineon 5% 10	C	YES		R fixed	100				YES	5-Jun-06	100	125	20%		
International Power 2% 05	C				112.39% + cc									24-nov.-03	107.119
International Power 3.75% $ 23	C			R equity	100			Mat - Put	YES	13-sept-08 13-sep-10	100 100	130 NONE	15%	22-Aug-10 22-Aug-13 22-Aug-18	100
KBC 2.5% 2005	C									24-Dec-01	100	130			
Lafarge 1.5% 06	C									1-Jul-03	3.50%	120	10%		
Legal and General 2.75% 06	C			R equity	100				YES	3-Jan-05	100	120	15%		
Linde 1.25% 09	C			R fixed				Mat-cf details		5-May-07	100	120	13.64%		
LogicaCMG 2.875% 08	C			R fixed				Mat - Call	YES	3-Oct-06	100	140	15%		
Lonza 1.5% 09	oceane			R continuous only if acqueror not listed Europe, US, Ca, Jap	100%--except BBB+								15%		
Lufthansa 1.25% 12	C			R fixed	100					4-Jan-05	100	130	10%	4-Jan-06 4-Jan-08 4-Jan-10	100
LVMH (FA) 0% 06	E		YES			PC	YES		YES				10%		
Man Group 3.75% 09	C			R fixed				Mat - Call	YES	27-Nov-07	100	130	15%		
Nestlé 0% 08	OBSA				NO-cf details									11-juin-06	94.918
Norilsk (UBS) 0% $ 06	E		YES			RI_Bonds included				22-Dec-04	100	115	15%		
Northern Foods 6.75% 08	C	YES		No more active						1-Sep-98	100	NONE	15%		
Numico 3% 10	C	YES		R fixed	100					11-Jul-08	100	150	10%		
Numico 4.25% 05	C	YES		R fixed	100					26-Jun-03	100	130	10%		
Oeneo 3% 06	C									1-Jan-03	5%	120	10%		
Old Mutual 3.625% 05	C				100					16-May-03	100	120	10%		
Olivetti 1.5% 10	C									1-Jan-04	3.50%	140			
OMV 1.5% 08	new			R fixed <premium	100					1-Jan-07	100	125	10%		
OTE (Hellenic Finance) 2% 05	E		NO (bondholders)			RI_all equity			YES	16-Aug-04	4.38%	120	bondholders		
Portugal Telecom 2% 06	C				100				YES	6-Dec-04	100	115	10%		
PPR (Artemis) 1.5% 07	E		YES			Compulsary redempt		Mat	YES	16-May-05	5%	125	10%		
PPR 2.5% 08	C									1-Dec-05	3.62%	120	10%		
Publicis 0.75% 08	C			R continuous	100					15-Dec-05	100	130	10%		
Publicis 1% 18	C			R continuous	2.75%					18-Jan-07	2.75%	125	10%	18-Jan-2006 18-Jan-2010 18-Jan-2014	2.75%
Qiagen 1.5% $ 24	C			R fixed	100					18-Aug-11	100	120	20%	18-Aug-11 18-Aug-14 18-Aug-19	100
Rallye 3.75% 08	C				5.50%					1-Jan-06	5.50%	125	10%		
Rank 3.875% 09	C			R fixed	100				YES	4-Feb-07	100	130	15%		
Remy 3.5% 06	C									1-Apr-04	5.50%	120	10%		
Repsol (Pemex) 4.5% $ 11	E		YES		100 if cash>95%	RI_all equity			YES	9-Feb-08	100	130	10%		
Roche 0% $ 21	C	sub struct							YES	25-Jul-07	3.63%	120		25-Jan-05 25-Jan-07 25-Jan-11 25-Jan-16	3.63%
Rolls Royce (BMW) 1.875% 08	E		YES			RI_all equity		YES	YES	18-Dec-06	100	130	15%		
RWE (Allianz) 1.25% 06	E		YES			RI_all equity			YES	20-Dec-04	1.75%	125			
RWE (Dusseldorf) 1.75%	E		YES		100 if cash>90%	RI_all equity		Mat	YES	5-Jul-07	100	130	10%		
Saint Gobain 2.625% 07	C									18-Feb-05	100	125	10%		

Name	Type of product	Subordinated	Issuer absolute discretion	Ratchet	Put for change of control	loss of equity upside	Hard call for cash offer	Share settlement	Cash-out option	call date	call price	call trigger	clean-up call	put date	put price
TAKEOVER PROTECTION CLAUSES															
Scottish & Southern Energy 3.75% 2009	C			R fixed <premium									15%	29-oct.-07	100
Scottish Power 4% $ perpetual	C	YES		R fixed <premium	100			Call (compulsory)		10-Jul-09 10-Jul-11	100 100	130 NONE	15%		
Scor 4.125% 10	C									1-Jan-08	100	130	10%		
Serono 0.5% 08	C			R fixed	1.62%					10-Dec-06	1.62%	115	15%		
SGL Carbon 3.5% 08	C			R fixed	100				YES	18-Sep-03	100	130			
Siemens (Allianz) 2% 05	E		YES			no more PC	YES-90%		YES	23-Mar-03	2.25%	115	10%		
Siemens 1.375% 10	C			R fixed					YES	18-Jun-07	100	130	16%		
SkyePharma 6% 24	C			R continuous only before 1st call date	100 if cash>50%					20-May-09 4-May-11	100 100	130 NONE	15%	4-May-09 4-May-11 4-May-14 4-May-19	100
SkyePharma 8% 25	C			R continuous only before 1st call date	100 if cash>50%					10-Jun-08 3-Jun-12	100 100	150 NONE	15%	3-Jun-10 3-Jun-12 3-Jun-15 3-Jun-20	100
Sogecable (VU) 1.75% 08	E		YES			RI_all equity			YES	30-Oct-06	100	125	10%		
Sol Melia 4.3% 08	old			R fixed <<premium	100				YES	5-Dec-07	100	130	10%		
SR teleperformance 3.25% 08	C									31-Jan-07	100	125	10%		
Standard Chartered 4.5% € 10	C	YES		R fixed						15-Apr-05	100		15%		
STM (Finmeccanica) 0.375% 10	E		YES			PC-ends call date		Mat		29-Aug-06	100	125	10%		
STM 0% $ 13	C				-0.5%-cf details					20-Aug-06	-0.5%	130	10%	5-Aug-06 5-Aug-08 5-Aug-10	-0.5%
Suedzucker 3% 08	C			R fixed <premium	100					9-Dec-06	100	130	10%		
Swiss Re 3.25% 2011-21	C / E ???	YES			100					6-dec-06 to 20 nov-11 From 21-nov-11	100 100	120 NONE			
Swisscom (Swiss Gvt) 0% 05	E		YES			Possible_RI_all equity							10%		
Swisscom (Swiss Gvt) 0% 06	E		YES			Possible_RI_all equity							10%		
Swisscom (Swiss Gvt) 0.25% 07	E		YES			Possible_RI_all equity				3-Jan-07	100	125	10%	19-déc.-05	100
Technip 1% 07	C									1-Jan-05	3.25%	120	10%		
Telecom Italia (Tecnost) 1% 05	E		NO (shareholders)			RI_Bonds included			YES	3-Nov-03	3.5%	115		3-nov.-03	3.5%
Telekom Austria (OIAG) 1.125% 06	E		YES			PCA1 & PCA2	YES-100%	Mat	YES				15%		
Thales 2.5% 07	C									22-Dec-04	100	120	10%		
Thomson 1% 06	C									1-Jan-04	2.75%	120	10%		
TIM or SEAT (Telecom Italia) 1% 06	E			no more valid		RI_Bonds included			YES	15-Mar-04	4.25%	120		15-mars-04	4.25%
Tiscali 4.25% 06	C			R pc	100			Mat	YES				10%		
TMM (Carlton) 2.25% 07	E		YES		100 if cash>95%	RI_all equity				4-Jul-03	100	130	10%	4-Jan-05	100
TUI 4% 08	C			R fixed <premium	100				YES				15%		
UBM 2.375% 06	C			no more active	100			Mat - Call - Put		19-Dec-04	100	130	15%	19-déc.-04	100

TAKEOVER PROTECTION CLAUSES

Name	Type of product	Subordinated	Issuer absolute discretion	Ratchet	Put for change of control	loss of equity upside	Hard call for cash offer	Share settlement	Cash-out option	call date	call price	call trigger	clean-up call	put date	put price
Valeo (Wendel) 3.75% 05	E		YES			Compulsary redempt		YES		27-May-04	100	115	10%		
Valeo 2.375% 11	C			R continuous						31-Jan-07	100	130	10%		
Versatel 3.875% 2011	C			R fixed	100					28-Oct-09	100	130	15%		
Vinci (VU) 1% 2006	E		YES			RI_all equity			YES	1-Mar-03	100	125	10%		
Vinci 2% 18	C									1-Jan-06	3.88%	125	10%	2-May-06 2-May-10 2-May-14	3.875%
VNU 1.75% 06	C			R fixed if cash>25%	100				YES	18-May-04	100	130			
Vodafone (BAe) 3.75% 06	E		YES			RI_Bonds included			YES	21-Jul-02	100	115	15%		
Voestalpine (OIAG) 1.5% 06	E		YES			PCA1 & PCA2	YES-100%	Mat	YES				15%		
Voestalpine 1.5% 10	C			R fixed <premium	100					1-Jan-09	100	130	15%		
VU (VE) 2.25% 05	E									1-Jan-02	2.83%	115	10%		
Wegener 5.5% 05	C	YES			100					26-Apr-03	100	130			
Wienerberger (Bk Austria) 1.25% 07	E		YES			RI_all equity				30-Jan-06	100	120	15%		
Wolters Kluwer 1% 06	C				2.50%				YES	14-Dec-04	2.50%	130	15%		
WPP 2% 07	C			R fixed					YES				15%		
Xstrata (Glencore) 4.125% 10	E		YES			RI_all equity			YES	20-Oct-08	5.83%	130	15%		
Xstrata 3.95% 10	C			R equity						6-Sep-07	100	130	15%		

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
3i Group 1.375% 08	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	paid in respect of fiscal year ending Mar 2006 should be > 18.6p; 2007 > 19.53p; 2008 > 20.51p; 2009 > 21.54p;					total div if declared exceptional or the excess of the yearly levels	NCP = OCP ((S - DE)/S)			
ABB 3.5% 10	Du	C	DY > 3.5%				(D1+D2)/E	closing share price the day prior to relevant div ANNOUNCEMENT date (Board Meeting)		excess	NCP = OCP ((S - DE)/S)	closing share price the day prior to relevant div ANNOUNCEMENT date (Board Meeting)		
ABB 3.5% 10	Du	C + kind	> 40% net income of that fiscal year							excess	NCP = OCP ((S - DE)/S)			
Accor 1% 07	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 2.5%	NCR = OCR x (1 + DY - 2.5%)			
Accor 1.75% 08	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 2.5%	NCR = OCR x (1 + DY - 2.5%)			
Addeco 0% 13	Du	C	DY > 5%				(D1+D2)/E	average closing price over the last 365d before ex-date (exclusive)		> 3%	NCP = OCP ((S - DE)/S)			
Adidas 2.5% 2018	R	C + kind	DY > 3.5%				(D1+D2)/E	average closing share price over the 10d prior to ex-date		excess	NCP = OCP ((S - DE)/S)	average opening share price over the 5d prior to ex-date		
Aegis 2% 06	R	C + kind	trigger 1 or the lower of trigger 2 and trigger 3	declared by the Board as exceptional, special etc …	the higher between A) total div paid in respect of previous year and B) 7% DY	200% of total dividends paid in respect of previous year	(D1 + D2) / E	average bid/ask quotations over 5 consecutive trading days prior to announcement date		excess	NCP = OCP ((S - DE)/S)	average bid/ask quotations over 5 consecutive days prior to ex-date		
Air France 2.75% 20	R	C + kind	DY > 3.5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		excess	NCR = OCR x (1 + DY - 3.5%)			
Alcatel 4.75% 11	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 4%	NCR = OCR x (1 + DY - 4%)			
Altran 3.75% 09	Du	C + kind	DY > 4%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 2%	NCR = OCR x (1 + DY - 2%)			
Arcelor 3% 17	Du	C + kind	DY > 8.5%				(D1+D2)/E	average closing share price over the 12 months prior to ex-date		> average DY over the 5 previous year ie the PDY taking into account 4.5% fixed div yield for years before 27 June 2002 (the issue date)	NCP = OCP x (1 - DY + PDY)			
ASML 5.5% 10	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		excess	NCR = OCR x (1 + DY - 5%)			
ASML 5.75% 06	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		excess	NCR = OCR x (1 + DY - 5%)			

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
Axa (Finaxa) 3% 07		no precise details												
Axa 2.5% 14		no precise details												
Axa 3.75% 17		no precise details												
BAA 2.625% 09	R	C + kind	trigger 1 AND 2	total distribution paid in respect of all periods ending after 31 March 2003 exceeds the aggregate of the consolidated cumulative net profits less losses for all the periods ending after march 03	> rate of dividend of previous fiscal year					excess	NCP = OCP ((S - DE)/S)	average bid/OFFER quotations over 5 consecutive days prior to ANNOUNCEMENT date		rate of dividend has no clear definition
BAA 2.94% 08	R	C + kind	trigger 1 AND 2	total distribution paid in respect of all periods ending after 31 March 2001 exceeds the aggregate of the consolidated cumulative net profits less losses for all the periods ending after march 01	> rate of dividend of previous fiscal year					excess	NCP = OCP ((S - DE)/S)	average bid/OFFER quotations over 5 consecutive days prior to ANNOUNCEMENT date		rate of dividend has no clear definition
BNL (MPDS) 1% 09	ALL	C + kind	every div paid							total div paid to shareholders				cash included in the E. P. with compulsory re-investment into shares
Bouygues (Artemis) 1.5% 08	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 4%	NCR = OCR x (1 + DY - 4%)			
Buhrmann 2% 10	ALL	C + kind	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of closing share price over 8 days ending prior to ex-date		
Cap Gemini (Wendel) 2% 09	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 2.5%	NCR = OCR x (1 + DY - 2.5%)			
Cap Gemini 1% 12	Du	C + kind	DY > 4%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Cap Gemini 2.5% 10	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Casino (Rallye) 3.25% 13	Du	C + kind	DY > 6%				D1/E1 + D2/E2	opening share price the day prior to ex-date		> 4%	NCR = OCR x (1 + DY - 4%)			
Club Med 4.375% 10	Du	C + kind	DY > 3%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 2%	NCR = OCR x (1 + DY - 2%)			
Club Med 3% 08	Du	C + kind	DY > 3%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 2%	NCR = OCR x (1 + DY - 2%)			

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
Continental 1.625% 11	R	C	>= to the lesser of trigger 1 and 2	the higher of x) the reference dividend and y) 115% of the previous year dividend	DY > 6.5%		(D1 + D2) / E	VWAP of the closing share price (Xetra) over the 365d prior to record date	€ 0.52	excess	NCR = OCR (S / (S- DE))	VWAP of the share closing price over the shorter period between x) 10 consecutive trading days prior to ex-date and y) a period from the announcement date and the day prior to the ex-date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to ex-date (exclusive)		
Corus 3% EUR 07	R	C + kind	trigger 1 or the highest of trigger 2 and trigger 3	declared by the Board as exceptional, special etc …	50% of the EPS realised in respect of the same fiscal year (excluding exceptional financial gains over £200m)	10p per share				total div if declared exceptional or the excess of trigger 2 and 3	NCP = OCP ((S - DE)/S)	average bid/ask quotation over 5 consecutive days prior to ex-date		
Daimler (UBS) 4.35% 10 - ORA	ALL	C								85% of the declared amount of any cash dividend (or other cash payment to shareholders) payable on the maximum number of shares (excluding any adjustment arising from anti-dilution provisions) payable within 20 business days of the dividend payment date			Immediate payment	
Delhaize 2.75% 09	R	C + kind	>= to the lesser of trigger 1 and 2	150% of previous fiscal year total dividends	5% of the average of the closing share price over the 365d prior to ex-date					excess	NCP = OCP ((S - DE)/S)	average closing share price over 5 consecutive days prior to ex-date		
Deutsche Post (KFW) 0.875% 07	R	C	trigger 1 or 2	declared by AGM	DY>= 5%		(D1+D2)/E	average of VWAP over 365d or since previous Div		excess	NCP = OCP ((S - DE)/S)	average of VWAP over the shorter of 1- 10 consecutive trading days ending 1d prior to ex-date (exclusive) and 2- from announcement date to 1d prior to ex-date (exclusive)		

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
DIVIDENDS PROTECTION CLAUSES														
Deutsche PostBk (Deutsche Post) 2.65% 07	ALL	C	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the shorter period between x) 10 consecutive trading days prior to record date and y) a period from the announcement date and the day prior to the record date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to record date (exclusive)		
Deutsche telekom (KFW) 0.75% 08	ALL	C	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the shorter period between x) 40 consecutive trading days prior to record date and y) a period from the announcement date and the day prior to the record date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to record date (exclusive)	on conversion	**direct payment or adjustement at issuer discretion**
Elan 6.5% $ 08	ALL	C + kind	every div paid							total div paid to shareholders	NCR = OCR (S / (S- DE))	average sale prices of ADSs for 30 consecutive days prior to the Record date		
Elior 1% 07	Du	C + kind	DY > 5%				D1/E1 + D2/E2	VWAP the day prior to ex-date		excess	NCR = OCR x (1 + DY - 5%)			
EMI 5.25% 10	R	C + kind	D > 8p							excess	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the 5d prior to ex-date		An independant Advisor may revise the 8p level according to circumstances
Endesa (La Caixa) 0.25% 06	R	C + kind	> to the lesser of trigger 1 and 2	DY > 7.5%	1.16 € ie twice div paid in respect of 2002		(D1 + D2) / E	closing share price the day prior to announcement		excess over NDY ie normal div yield or the previous year div yeild	NCP = OCP x (1 - DY + NDY)			fomula in propspectus in not correct !!!!
Essilor 1.5% 10	R	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		excess	NCR = OCR x (1 + DY - 5%)			
France Tel 1.6% 09	Du	C + kind	DY > 6%				D1/E1 + D2/E2	closing share price the day prior to ex-date		excess	NCR = OCR x (1 + DY - 6%)			

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
DIVIDENDS PROTECTION CLAUSES														
GBL 2.95% 12	R	C + kind	paid in respect of fiscal year 2004 (times conversion ratio at ex-date) should be > 919.54€; 2005 > 993.10€; 2006 > 1072.55€; 2007 > 1158.36€; 2008 > 1251.02; 2009 > 1351.11€; 2010 > 1459.19€; 2011 > 1575.93€; to end of conversion period > 1702.00€							excess of yearly levels	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the 5 consecutive days prior to ex-date		very interesting to see that the current conversion ratio is taken into account
Gedeon Richter (APV) 1% € 09	R	C + kind	paid in respect of 2004 should be > 484HUF; 2005 > 532 HUF; 2006 > 586 HUF; 2007 > 644 HUF; 2008 > 709 HUF							excess				cash included in the E. P. with compulsory re-investment into shares
Generali (Capitalia) 1.625% 09	R	C + kind	D > € 0.33 x $(1 + 0.25)^n$				D1/E1 + D2/E2	closing share price the day prior to ex-date	the € 0.33 div in the trigger formula is the div paid the year prior to issue date	excess with n in the trigger fomula starting after 2003				DE will be included into the exchange property according to echange ratio BUT no obligation to re-invest this cash
Generali (Unicredito) 2.5% 08	R	C + kind	D > € 0.28 x $(1 + 0.25)^n$				D1/E1 + D2/E2	closing share price the day prior to ex-date	the € 0.28 div in the trigger formula is the div paid the year prior to issue date	excess with n in the trigger fomula starting after 2002				DE will be included into the exchange property according to echange ratio BUT no obligation to re-invest this cash
Hagemeyer 3.5% 12	ALL	C	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of closing share price over 5 days ending prior to ANNOUNCEMENT date		
Hagemeyer 5.75% 09	ALL	C	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of closing share price over 5 days ending prior to ANNOUNCEMENT date		
Havas 1% 2006	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Havas 4% 2009	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 2.5%	NCR = OCR x (1 + DY - 2.5%)			

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
DIVIDENDS PROTECTION CLAUSES														
Heidelberger Druck (RWE)	ALL	C	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)		on conversion	**direct payment or adjustement at issuer discretion**
Heidelberger Druck 0.875% 12	R	C	DY > 0.5%				(D1 + D2) / E	average of daily VWAP over previous fiscal year (all trading days)		excess	NCR = OCR (S / (S- DE))	average of the daily VWAP over the shorter period between x) 10 consecutive trading days prior to record date and y) a period from the announcement date and the day prior to the record date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to record date (exclusive)		
Hilton 3.375% 10	Du	C + kind	D > 120% previous year dividend							excess	NCP = OCP ((S - DE)/S)			
Hochtief (RWE) 0.875% 07	R	C	paid in respect of fiscal year ending Dec 03 > 0.65€; 2004 > 0.7€; until end of conversion > 0.75€							excess of yearly levels	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the shorter period between x) 10 consecutive trading days prior to ex-date and y) a period from the announcement date and the day prior to the ex-date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to ex-date (exclusive)		only dividends with ex-date during a period of convertibility will be taken into account
Infineon 5% 10	R	C	>= to the lesser of trigger 1 and 2	2 times the reference dividend	6.5% of the VWAP of the closing share price (Xetra) over the 365d prior to ex-date				div paid in respect to to fiscal year ending Sept 2001	> previous year dividend	NCR = OCR (S / (S- DE))	VWAP of the share closing price over the shorter period between x) 10 consecutive trading days prior to ex-date and y) a period from the announcement date and the day prior to the ex-date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to ex-date (exclusive)		
International Power 3.75% $ 23	ALL	C + kind	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of closing share price over 5 consecutive trading days prior to ex-date		
Lafarge 1.5% 06	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
Lastminute.com 6% 2008	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	> reference dividend ie 1% of the average daily VWAP over 180 days					total div if declared exceptional or the excess of the reference dividend	NCP = OCP ((S - DE)/S)	average closing share price over 5 consecutive days prior to announcement date		
Liberty 3.95% 10	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	paid in respect of fiscal year ending Sept 2004 should be > 30p; 2005 > 32.25p; 2006 > 34.67p; 2007 > 37.27p; 2008 > 40.06p; 2009 > 43.07p et 2010 > 46.30p					total div if declared exceptional or the excess of the yearly levels	NCP = OCP ((S - DE)/S)	average closing share price over 5 consecutive days prior to ex-date		
Linde 1.25% 09	R	C	>= to the lesser of trigger 1 and 2	the higher of x) the reference dividend and y) 115% of the previous year dividend	6.5% of the VWAP of the closing share price (Xetra) over the 365d prior to record date				€ 1.13	excess	NCR = OCR (S / (S- DE))	VWAP of the share closing price over the shorter period between x) 10 consecutive trading days prior to ex-date and y) a period from the announcement date and the day prior to the ex-date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to ex-date (exclusive)		
Lonza 1.5% 2009	Du	C	paid DURING fiscal year ending 2006 should be > 1.5 CHF; 2007 > 1.6 CHF; 2008 > 1.7 CHF; 2009 > 1.8 CHF							excess of yearly levels	NCP = OCP ((S - DE)/S)	closing share price the day prior to payment date		
LVMH (FA) 0% 06	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Maurel & Prom 3.5% 10	Du	C + kind	DY > 2.5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		excess	NCR = OCR x (1 + DY - 2.5%)			

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
Nestlé 0% 08	R	C	DY > 5%				(D1 + D2) / E	average daily VWAP over the 365 days prior to announcement date		> previous financial year dividend	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the shorter period between x) 10 consecutive trading days prior to record date and y) a period from the announcement date and the day prior to the record date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to record date (exclusive)		
Nexans 3.125% 10	Du	C + kind	DY > 4%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Northern Foods 6.75% 08	R	C + kind	trigger 1 AND 2	total distribution paid in respect of all periods ending after 31 March 1992 exceeds the aggregate of the consolidated cumulative net profits less losses for all the periods ending after march 92	> rate of dividend of previous fiscal year					excess	NCP = OCP ((S - DE)/S)	average bid/OFFER quotations over 5 consecutive days prior to ANNOUNCEMENT date		rate of dividend has no clear definition
Numico 3% 10	ALL	C	every div paid							total div paid to shareholders	NCR = OCR (S / (S- DE))	average of closing share price over 8 consecutive trading days prior to payment date		
OMV 1.5% 08	R	C	DY > 3.5%				(D1+D2)/E	average VWAP over 10d prior to ex-date		excess	NCP = OCP ((S - DE)/S)	average of VWAP over the 10 consecutive trading days ending 1d prior to ex-date (exclusive)		
Pernod 2.5% 08	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Post Bk (D Post) 2.65% 07	ALL	C	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the shorter period between x) 10 consecutive trading days prior to record date and y) a period from the announcement date and the day prior to the record date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to record date (exclusive)		

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
PPR (Artemis) 1.5% 07	Du	C + kind	DY > 5%				(D1+D2)/E	average closing share price over previous fiscal year		excess	NCR = OCR x (1 + DY - 5%)			
PPR 1% 08	Du	C + kind	DY > 6%				D1/E1 + D2/E2	average opening share price over the 30d prior to ex-date		> 3.5%	NCR = OCR x (1 + DY - 3.5%)			
Publicis 1% 18	Du	C + kind	DY > 4%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Publicis 0.75% 08	Du	C + kind	DY > 4%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Qiagen 1.5% $ 24	ALL	C	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of closing share price over 8 consecutive trading days prior to ex-date		
Rallye 3.75% 08	Du	C + kind	DY > 6%				D1/E1 + D2/E2	average opening share price over the 30d prior to ex-date		> 4%	NCR = OCR x (1 + DY - 4%)			
Rank Group 3.875% 09	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	paid in respect of 2003 should be >14.12p; 2004 >15.11p; 2005 >16.17p; 2006 > 17.3p and 2007 > 18.51p; 2008 > 19.81p					total div if declared exceptional or the excess of the yearly levels	NCP = OCP ((S - DE)/S)	average closing share price over 5 consecutive days prior to announcement date		
Remy 3.5% 06	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Roche 0% $ 21	ALL	C + kind	every div paid							total div paid to shareholders	NCR = OCR (S / (S- DE))	average of closing share price over 5 consecutive trading days prior to ex-date		Underlyin share without voting rights
RR (BMW) 1.875% 08	R	C + kind	trigger 1 or the lower of trigger 2 and trigger 3	declared by the Board as exceptional, special etc …	the higher between A) total div paid in respect of previous year and B) 5% DY	110% of total dividends paid in respect of previous year	(D1 + D2) / E	average bid/ask quotations over 5 consecutive trading days prior to announcement date		excess	NCP = OCP ((S - DE)/S)	average bid/ask quotations over 5 consecutive days prior to ex-date		
RWE (Stadt. Dusseldorf) 1.75%	R	C	DY >=5%				(D1+D2)/E	average of VWAP over 10d consecutive prior to ex-date		excess	NCP = OCP ((S - DE)/S)	average of VWAP over the shorter of 1- 10 consecutive trading days ending 1d prior to ex-date (exclusive) and 2- from announcement date to 1d prior to ex-date (exclusive)		
Saint Gobain 2.625% 07	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Scor 4.125% 10	Du	C + kind	DY > 4%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
Scottish & Southern Energy 3.75% 09	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	paid in respect of fiscal year ending Mar 2005 should be > 41p; 2006 > 44.7p; 2007 > 48.7p; 2008 > 53.1p; 2009 > 57.9p; 2010 > 63.1p					total div if declared exceptional or the excess of the yearly levels	NCP = OCP ((S - DE)/S)	average daily VWAP over the 5 consecutive days prior to ex-date (exclusive)		
Scottisk Power 4% $ perpetual	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	paid in respect of fiscal year ending Mar 2006 should be > 29.95p; 2007 > 32.197p; 2008 > 34.611p; 2009 > 37.207p; 2010 > 39.998p; 2011 > 42.997p; until 3 July 2011 > 46.222p					total div if declared exceptional or the excess of the yearly levels	NCP = OCP ((S - DE)/S)	average bid/offer quotations over 5 consecutive days prior to ex-date		
Siemens 1.375% 10	R	C	>= to the lesser of trigger 1 and 2	3 times the reference dividend	5% of the VWAP of the closing share price (Xetra) over the 365d prior to record date				average of the div paid over the last 5 fiscal year prior to record date	> previous year dividend	NCR = OCR (S / (S- DE))	VWAP of the share closing price over the shorter period between x) 10 consecutive trading days prior to ex-date and y) a period from the announcement date and the day prior to the ex-date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to ex-date (exclusive)		
SkyePharma 6% 24	ALL	C + kind	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	closing share price the day prior to the ex-date		
SkyePharma 8% 25	ALL	C + kind	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	closing share price the day prior to the ex-date		
Sogecable (VU) 1.75% 08	Du	C + kind	DY > 3%				D1/E1 + D2/E2	closing share price the day prior to ANNOUNCEMENT date		> 2%	NCR = OCR (S / (S- DE))	average opening share price over the 5 consecutive days prior to ex-date		
Sol Melia 4.3% 08	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	> 120% of the total div paid in respect of previous fiscal year					excess	NCP = OCP ((S - DE)/S)	average closing prices for the 5 consecutive days prior to ANNOUNCEMENT date		
SR Téléperformance 3.25% 08	Du	C + kind	DY > 5%				D1/E1 + D2/E2	average closing share price over the 3 months prior to AGM or, if interim dividend, prior to payment date		> 2.5%	NCR = OCR x (1 + DY - 2.5%)			
STM (Finmeccanica) 0.375% 10	R	C + kind	DY > 3%				D1/E1 + D2/E2	closing share price the day prior to ex-date		excess	NCR = OCR x (1 + DY - 3%)	average closing share price over the 10d prior to ex-date		

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
Suedzucker 3% 08	R	C + kind	DY > 5%				D1/E1 + D2/E2	average closing share price over the 10d prior to ex-date		excess	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the 10d prior to ex-date		
Swiss Re 3.25% $ 2011-21	R	C + kind	> to the lesser of trigger 1 and 2	DY > 5%	twice the total dividend paid in respect of the previous year		(D1 + D2) / E	average closing share price over the 5 consecutive trading days prior to announcement date		> of div paid in respect of the previous fiscal year	NCP = OCP ((S - DE)/S)	average closing share price over the 5 consecutive trading days prior to ex-date		
Swiss Re 6.125% € 07 - ORA	R	C	paid in respect of fiscal year ending Dec 2004 should be > 1.27 CHF; 2005 > 1.45 CHF; 2006 > 1.67 CHF; 2007 > 1.92 CHF							excess div in CHF x maximum conversion ratio x forex CHF / $ published by ML			Immediate payment	
Technip 1% 2007	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Telekom Austria (OIAG) 1.125% 06	ALL	C + kind	every div paid							total div paid to shareholders	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the shorter period between x) 40 consecutive trading days prior to record date and y) a period from the announcement date and the day prior to the record date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to record date (exclusive)	on conversion	**direct payment or adjustement at issuer discretion**
Thales 2.5% 07	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Thomson 1% 06	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
Tiscali	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	DY > 0.75%		(D1 + D2) / E	average daily VWAP of all trading days of the current fiscal year		total div if declared exceptional or the excess	NCP = OCP ((S - DE)/S)	VWAP over the 5 consecutive trading days prior to the announcement date		
UBM 2.375% 06	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	paid in respect of 2002 should be >25p; 2003 >29p; 2004 >33p; 2005 > 38p and 2006 > 44p					total div if declared exceptional or the excess of the yearly levels	NCP = OCP ((S - DE)/S)	average bid/ask quotation over 5 consecutive days prior to ex-date		
Valeo 2.375% 11	Du	C + kind	DY > 6%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 5%	NCR = OCR x (1 + DY - 5%)			
Vinci 1% 2007	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments

DIVIDENDS PROTECTION CLAUSES

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
Vinci 2% 18	Du	C + kind	DY > 5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> 3%	NCR = OCR x (1 + DY - 3%)			
VNU 1.75% 06	Du	C + kind	DY >3.5%				D1/E1 + D2/E2	closing share price the day prior to ex-date		> average DY over the 3 previous year ie the PDY	NCP = OCP x (1 - DY + PDY)			
Vodaforne (BAe) 3.75% 06	R	C	trigger 1 and the highest of trigger 2 and trigger 3	total distribution paid in respect of all periods ending after Dec 1998 exceeds the aggregate of the consolidated cumulative net profits less losses	DY > 5%	twice the total dividend paid in respect of the previous year	(D1 + D2) / E	average bid and offer quotations over the 5 consecutive trading days prior to announcement date		excess of the higher between trigger 2 and 3				DE will be included into the E.P. with re-investment into underlying shares and if not possible into UK Gvt BONDS
Voestalpine (OIAG) 1.5% 2006	R	C	DY >= 5%				(D1 + D2) / E	average of daily VWAP over previous fiscal year		excess	NCP = OCP ((S - DE)/S)	average of the daily VWAP over the shorter period between x) 30 consecutive trading days prior to record date and y) a period from the announcement date and the day prior to the record date and z) a period starting from the ex-date of the last div giving birth to an adjustment, to the day prior to record date (exclusive)		
Voestalpine 1.5% 10	R	C	DY > 6%				(D1 + D2) / E	average closing price over previous fiscal year (all days)		excess	NCP = OCP ((S - DE)/S)	average of closing share price over 10 consecutive trading days prior to ex-date		
Wienerberger (Bk Austria) 1.25% 07	R	C + kind	DY > 5%				(D1+D2)/E	average closing share price over 15d prior to ANNOUNCEMENT date		excess	NCP = OCP ((S - DE)/S)			
WPP 2% 07	R	C + kind	trigger 1 or 2	declared by the Board as exceptional, special etc …	paid in respect of fiscal year ending Dec 2004 should be > 13.52p; 2005 > 17.56p; 2006 > 22.85p					total div if declared exceptional or the excess of the yearly levels	NCP = OCP ((S - DE)/S)	average bid/ask quotation over 5 consecutive days prior to ex-date		
Xstrata (Glencore) 4.125% 10	R	C + kind	> trigger 1 AND trigger 2 (if Xstrata shares in the Exchange Property)	120% of the highest total dividends paid in any previous year	$ 126m converted in £					A + B - C with A relevant div; B div in respect of the same fiscal year and C is $126m				1) cash included in the E. P. with compulsory re-investment into shares 2) different triggers if other sunderlying shares than Xstrata

Name	period	type	trigger	trigger 1	trigger 2	trigger 3	Div yield=DY	Equity definition for trigger = E	Reference Div	DE	Adjustement	Equity reference for adjustment= S	Payment to investors	Comments
DIVIDENDS PROTECTION CLAUSES														
Xstrata 3.95% $ 10	R	C + kind	> trigger 1 AND trigger 2	120% of the highest total dividends paid in any previous year	$ 126m converted in £					A + B - C with A relevant div; B div in respect of the same fiscal year and C is $126m	NCP = OCP ((S - DE)/S)	average bid/ask quotation over 5 consecutive days prior to ex-date		

TABLE OF CONTENTS – ALPHABETIC ORDER

U/V/W/X

OUR SAMPLE OF 154 EQUITY-LINKED AND THEIR MAJOR CLAUSES

ALPHABETIC ORDER

3I GROUP 1.375% € 08

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 1 August 2004:	684.95 p
To 1 August 2005:	708.169 p
To 1 August 2006:	737.192 p
To 1 August 2007:	777.824 p
Thereafter to maturity:	812.652 p

OTHER SIGNIFICANT CLAUSES

- Clean up call: 15%
- Cash out option
- Share settlement option: at maturity only
- Others: issuer may decide at redemption to pay holders in £ (versus €) according to a 30 to 60 days notification period and 5 for 1000 enhancement

BNP PARIBAS
Equities & Derivatives

ABB 3.5% 10

TAKEOVER BID

- Ratchet: continuous

In the event of a change in control the holder may, within 60 days following notification of this change, convert at a conversion price adjusted according to the following formula:

NCR = RP x (1 + (CP x (1 – C/T)))

NCR = New conversion ratio

RP = Reference price for the shares at issue = SF7.9657

CP = Convertible premium at issue = 50%

C = remaining time in days

T = total term of the issue = 2,519 days

– calculated on day after issue: 50% enhancement

- Put in the event of change in control

– Can be exercised in the 60 days following notification of change of control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 10 September 07

– Redemption at par + accrued interest

– Trigger: 150% of redemption price

- Clean up call: 15%
- Cash out option

ABB 4.625% $ 07

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 16 November 2002:	SF14.83
To 16 May 2003:	SF15.44
To 16 November 2003:	SF16.05
To 16 May 2003:	SF16.66
To 16 November 2003:	SF17.26
To 16 May 2003:	SF17.87
To 16 November 2003:	SF18.48

- Put in the event of change in control

– Can be exercised in the 60 days following notification of change of control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 16 May 05

– Redemption at par + accrued interest

– Trigger: 170% of redemption price

- Clean up call: 15%
- Cash out option

ACCOR 1% 07

TAKEOVER BID

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Clean-up call: 10%
- Notification: 1 month

- Exceptional dividends

– Period: during the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 5%

– Div yield calculation: each dividend is divided by the equity closing price the day prior to dividend payment

– Adjustment: over 2.5%

$$NCR = OCR \times (1 + \text{Div Yield} - 2.5\%)$$

– All dividends paid after a 1st dividend adjustment and during the same fiscal year will be adjusted automatically and completely

$$NCR = OCR \times (1 + \text{Div Yield})$$

BNP PARIBAS
Equities & Derivatives

ACCOR 1.75% 08

TAKEOVER BID

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 2 January 05

– Redemption at par + accrued interest

– Trigger: 110% of redemption price

– Trigger calculation: simple average of opening share price for 20 consecutive days out of the 40 consecutive days prior to notification date > 110%

- Clean-up call: 10%
- Notification: 1 month

- Exceptional dividends

– Period: during the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 5%

– Div yield calculation: each dividend is divided by the equity closing price the day prior to dividend payment

– Adjustment: over 2.5%

NCR = OCR x (1 + Div Yield - 2.5%)

– All dividends paid after a 1st dividend adjustment and during the same fiscal year will be adjusted automatically and completely

NCR = OCR x (1+ Div Yield)

ADECCO 0% 13

TAKEOVER BID

- Ratchet: continuous

In the event of a change in control being effective before 28 August 2010 and if the cash element represents less than 25% of the total offer, the holder may, within 60 of notification of this change, convert at an adjusted conversion price according to the following formula:

NCR = RP x (1 + (CP x (1 – C/T)))

NCR = new conversion ratio

RP = reference price of the shares at issue = SF57.771

CP = convertible premium at issue = 63.58%

C = time remaining to 26 August 2010 in days

T = number of days between 26 August 2003 (inclusive) and 26 August 2010 (exclusive) = 2,557 days

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 26 August 2010
  - Redemption at increased value (guaranteeing yield of 1.50%)
  - Clean up call: 15%
- Cash out option

BNP PARIBAS
Equities & Derivatives

ADIDAS-SALOMON 2.5% 18

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

From	To	Reduction of conversion price	New conversion price	New conversion ratio
8 octobre 2003	7 octobre 2004	17.50%	**404.4117**	**123.6364**
8 octobre 2004	7 octobre 2005	15.00%	**416.6666**	**120.0000**
8 octobre 2005	7 octobre 2006	12.50%	**428.9215**	**116.5714**
8 octobre 2006	7 octobre 2007	10.00%	**441.1764**	**113.3334**
8 octobre 2007	7 octobre 2008	7.50%	**453.4313**	**110.2703**
8 octobre 2008	7 octobre 2009	5.00%	**465.6862**	**107.3684**
8 octobre 2009	7 octobre 2010	2.50%	**477.9411**	**104.6154**
8 octobre 2010	20 septembre 2011	0.00%	**490.1960**	**102.0000**

- Put in the event of change in control

– Can be exercised in the 60 days following notification of change of control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 8 Oct 09 to 7 Oct 12

Redemption at par + accrued interest

Trigger: 130%

– From 8 Oct 12 to 7 Oct 15

Redemption at par + accrued interest

Trigger: 130%

– From 8 Oct 15 to 8 Oct 18

Redemption at par + accrued interest

No trigger (hard call)

– Trigger calculation: average share prices at 5.30pm for 20 dealing days over the 35 dealing days prior to early redemption notification

– 45 to 60 days notice

- Holder put option

8 Oct 2009/12/15

Redemption at par

45 to 60 days notice

- Clean up call: 10%
- Cash out option: <u>HAS BEEN REMOVED</u>

- Contingent conversion at 110% of the initial conversion price

- Exceptional dividends

– Period: in respect of the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 3.5%

– Div yield calculation: dividends in respect of the same fiscal year are divided by the average of the equity closing prices over the 10 days prior to the ex-date of the Relevant dividend

– Adjustment: over 3.5%

NCP = OCP ((S - DE) / S)

– S= average opening share prices over the 5 dealing days prior to ex-date

AEGIS 2% € 06

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 15 May 03:	115.23 p
To 15 May 04:	126.75 p
To 15 May 05:	138.28 p
Thereafter to maturity:	149.8 p

- Put in the event of change in control
- Can be exercised in the 60 days following notification of change of control
- Redemption at the increased value (guaranteeing a yield of 3.875%)

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 29 Mai 05
- Redemption at the increased value (guaranteeing a yield of 3.875%)
- Trigger: 120% of redemption price
- Clean up call: 10%

AIR FRANCE 2.75% 10

TAKEOVER BID

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 1 April 2010

– Redemption at par + accrued interest

– Trigger: 130% of nominal

– Trigger calculation: simple average of closing share prices for 10 consecutive days out of the 20 consecutive days prior to notification date > 130%

- Clean-up call: 10%
- Notification: 1 month
- Holder put option

– 1 April 2012 & 2016

– Redemption at par + accrued interest

– Holder should notify at least 7 days before those put dates

- Exceptional dividends

– Period: in respect of the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 3.5%

– Div yield calculation: each dividend is divided by the equity closing price the day prior to dividend payment

– Adjustment: over 3.5%

$$NCR = OCR \times (1 + \text{Div Yield} - 3.5\%)$$

– All dividends paid after a 1st dividend adjustment and during the same fiscal year will be adjusted automatically and completely

$$NCR = OCR \times (1 + \text{Div Yield})$$

ALCATEL 4.75% 11

TAKEOVER BID

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 12 June 08
  - Redemption at par + accrued interest
  - Trigger: 125% of redemption price
- Clean-up call: 10%

ALITALIA 2.9% 07

TAKEOVER BID

A note would be sent to holders of convertibles setting out their conversion rights during the offer period

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 23 January 05
- Redemption at par + accrued interest
- Trigger: 140% of redemption price

ALLIANZ (MUNICH RE) 1% 05

TAKEOVER BID

- Acceptance/rejection of the offer at issuer's sole discretion
- If the issuer accepts a public offer, the Exchange Property would be modified accordingly and holders would receive in exchange the following:

– Share offer: continuity

– Full or partial cash offer:

The cash sum received for the Exchange Property will be reinvested in the following way:

1. in the shares tendered for the bid
2. if 1) is not possible, in shares of the bidder
3. if neither 1) nor 2) is possible, in securities representing, to the extent possible, the DAX30 index.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 9 June 03

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

- Cash-out option

ALTRAN 3.75% 2009

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 1 January 07
- Redemption at par + accrued interest
- Trigger: 130% of redemption price
- Clean-up call: 10%

AMADEUS (LUFTHANSA) 2.25% 06

TAKEOVER BID

- Acceptance/rejection of bid at issuer's sole discretion
- If the issuer has accepted a takeover bid, the Exchange Property will be definitively modified at the date the offer is declared unconditional, and holders will receive in exchange the following:

– Share offer: continuity

– Full or partial cash offer:

The cash received in exchange for the Exchange Property will be reinvested as follows:

1. in the shares tendered for the bid
2. if 1) is not possible, in shares in the bidder
3. if neither 1) or 2) is possible, investment in Bunds having a maturity date later (but not by more than one month) than the redemption date of the Convertible.

If unlisted securities form part of the bid, the issuer is obliged to sell them and reinvest according to rules 1), 2) and 3) above.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 25 July 04

– Redemption at increased value (par plus accrued interest)

– Trigger: 130% of redemption price

- Cash out option

ANGLO AMERICAN 3.375% $ 07

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 17 April 2005	£13.62
To 17 April 2006	£15.30
From 18 April 2006	£16.13

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 9 May 05

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

- Clean up call: 15%
- No cash-out option (company note dated 20 May 2002)
- Redemption in US$ / the issuer can elect to redeem in £ (1005) giving between 20 and 60 days notice

ANGLOGOLD 2.375% $ 09

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 27 February 2005	45.500 $
To 27 February 2006	50.375 $
To 27 February 2007	55.250 $
To 27 February 2008	60.125 $
Thereafter to maturity	65.000 $

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 14 March 07
- Redemption at par + accrued interest
- Trigger: 130% of redemption price
- Clean up call: 15%

ARCELOR 3% 17

TAKEOVER BID

- Put in the event of change in control only if the surviving entity does not assume its obligations to the holder or the underlying shares are removed from listing.
- Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 27 June 07
  - Redemption at par + accrued interest
  - Trigger: 130% of redemption price
- Clean up call: 10%
- Holder put option
  - 27 June 07/12
  - Redemption at par + accrued interest
- Cash-out option

ASML 5.5% 10

TAKEOVER BID

- Put in the event of change in control
  - Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 27 May 06
  - Redemption at par + accrued interest
  - Trigger: 150% of redemption price
- Cash-out option

ASML 5.75% 06

TAKEOVER BID

- Put in the event of change in control
  - Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 22 October 04
  - Redemption at par + accrued interest
  - Trigger: 130% of redemption price
- Cash-out option

BNP PARIBAS
Equities & Derivatives

AVENTIS (ERGO) 0.75% 06

TAKEOVER BID

- Acceptance/rejection of the offer at the issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified as a consequence and the holders will receive in exchange the following:

– Share offer:

- Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer

- Cash + compensation premium (CP)

– Cash and share offer:

- Continuity (for the equity element) + cash + compensation premium (CP)

NB: No compensation premium will be paid after 28 September 2004.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 28 September 04

– Redemption at increased value (par + accrued interest)

– Trigger: 130% of redemption price

- Cash out option

DETAILED CALCULATION FORMULA

CP = K^2 * (Principal – IP) * T/C * CB / (CB + CS)

K = minimum of IP/MP and MP/IP

Principal = €10,000

IP = €7,944.16

CB = Cash bid

CS = Value of the bid in shares

MP =Bond parity on closing day of the offer

C = number of days between 14 September 2001 and the date of the call (28 September 04)

T = number of days between the closing day of the offer and the date of the call (28 September 04)

Note, however, that no compensation premium will be paid after 28 September 04!!!!!!!!!!!!!!!!!

AXA (FINAXA) 3% 07

TAKEOVER BID

- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified as a result, with holders receiving the following in exchange:

– Share offer:

Continuity (adjustment of ratio according to the offer ratio)

– All cash offer:

No details in prospectus

– Cash and share offer:

No details in prospectus

- Merger between Finaxa and Axa is only event discussed in the prospectus saying the surviving entity could decide to exchange Axa (Finaxa) 3% 2007 for new convertible bonds

OTHER SIGNIFICANT CLAUSES

- Clean-up call: 10%

AXA 2.5% 14

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 1 January 05
- Redemption price at increased value (guaranteeing a yield of 4.45%)
- Trigger: 125% of redemption price
- Clean-up call: 10%

BNP PARIBAS
Equities & Derivatives

AXA 3.75% 17

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 1 January 07
  - Redemption at increased value (guaranteeing a yield of 6%)
  - Trigger: 125% of redemption price
- Clean-up call: 10%

BAA 2.625% 09

TAKEOVER BID

- Ratchet / based on share price

In the event of a change in control, the holder may, for a period of 60 days following notification of this change, convert at a conversion price adjusted as follows:

NCP = OCP * (A * B / C)

NCP = new conversion price

OCP = old conversion price

A = average price of the bond during a period of 30 consecutive days ending 5 days before the beginning of the offer

C = average conversion price (over the same period)

B = average share price (over the same period)

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 2 July 07
- Redemption at par + accrued interest
- Trigger: 130% of redemption price
- Clean up call: 15%
- Restructuring Put: change in main business

BAA 2.94% 08

TAKEOVER BID

- Ratchet / based on share price

In the event of a change in control, the holder may, for a period of 60 days following notification of this change, convert at a conversion price adjusted as follows:

NCP = OCP * (A * B / C)

NCP = new conversion price

OCP = old conversion price

A = average price of the bond during a period of 30 consecutive days ending 5 days before the beginning of the offer

C = average conversion price (over the same period)

B = average share price (over the same period)

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 18 April 06
  - Redemption at par + accrued interest
  - Trigger: 130% of redemption price
- Clean up call: 15%

BCA INTESA (MEDIOBANCA) 2% 06

TAKEOVER BID

- The Exchange Property will become the consideration tendered in the bid only if:

  1- shareholders have accepted the offer

  2- the offer is mandatory

- In this event, the Exchange Property will be definitively modified on the date on which the offer is declared unconditional, and holders will receive in exchange the following:

– Share offer: continuity

– Full or partial cash offer:

The cash sum received for the Exchange Property will be reinvested as follows:

1. in Banca Intesa Ordinary Shares

2. and/or in shares already included in the Exchange Property

3. in euro-denominated government bonds with a minimum rating of AA-

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 28 June 04

– Redemption at increased value (guaranteeing a 3% YTM)

– Trigger: 125% of redemption price

- Cash out option

BCA POP DI LODI 4.75% 10

TAKEOVER BID

Nothing indicated in the prospectus

Continuity

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 15 June 05
  - Redemption at par + accrued interest
  - Trigger: 135% of redemption price

BNL (BMPS) 1% 09

TAKEOVER BID

- Acceptance/rejection of the offer at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified and holders will receive instead the following:

– Share offer:
  - Continuity (adjustment of the ratio according to the bid ratio)

– All cash offer:
  - Cash + compensation premium (CP)

– Partial cash offer:
  - Continuity (for the equity element) + cash + compensation premium (CP)

NB: No compensation premium will be paid after 29 June 2007 if the share price is greater than 130% of the conversion price

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 29 July 07

– Redemption at increased value (par + accrued interest)

– Trigger: 130% of redemption price

- Cash out option
- The bond is not exchangeable before 15 January 06

CALCULATION DETAILS

CP = K^2 * (Principal – IP) * T/C * CB / (CB + CS)

K = minimum of IP/MP and MP/IP

Principal = 50,000 €

IP = 34,940.476 €

CB = amount of cash offered

CS = value of shares offered

MP = Bond parity on the closing date of the offer

C = 1,826 days

T = number of days between the closing date of the offer and 29 July 2009

Note however, that no compensation premium will be paid after 29 June 2007 if the share price is more than 130% of the conversion price.

Valeur de l'offre \ % en cash	10%	20%	30%	40%	50%	60%	70%	80%	90%	100%
1.75	1,218	2,437	3,655	4,873	6,092	7,310	8,528	9,747	10,965	12,183
1.80	1,152	2,303	3,455	4,606	5,758	6,909	8,061	9,213	10,364	11,516
1.85	1,090	2,180	3,271	4,361	5,451	6,541	7,631	8,721	9,812	10,902
1.90	1,034	2,067	3,101	4,134	5,168	6,201	7,235	8,268	9,302	10,335
1.95	981	1,962	2,944	3,925	4,906	5,887	6,869	7,850	8,831	9,812
2.00	933	1,866	2,798	3,731	4,664	5,597	6,529	7,462	8,395	9,328
2.05	888	1,776	2,663	3,551	4,439	5,327	6,215	7,103	7,990	8,878
2.10	846	1,692	2,538	3,384	4,230	5,076	5,922	6,768	7,614	8,461
2.15	807	1,614	2,421	3,229	4,036	4,843	5,650	6,457	7,264	8,072
2.20	771	1,542	2,313	3,084	3,854	4,625	5,396	6,167	6,938	7,709
2.25	737	1,474	2,211	2,948	3,685	4,422	5,159	5,896	6,633	7,370
2.30	705	1,411	2,116	2,821	3,527	4,232	4,937	5,642	6,348	7,053
2.35	676	1,351	2,027	2,702	3,378	4,054	4,729	5,405	6,081	6,756

Compensation premium for different bid values and cash percentages:

BOUYGUES (ARTEMIS) 1.5% 08

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified and holders will receive:

– Share offer:

- Continuity (adjustment of the ratio according to bid ratio)

– Full or partial cash offer:

In this event **the issuer must** make early redemption of the bonds at the higher of:

1. the increased value (guaranteeing a yield of 5.25%)
2. the amount of the cash or cash and shares offer

In addition, in the event of redemption before:

– 25 June 2005, this price will be increased by 3%.

– 25 June 2006, this price will be increased by 2%.

– maturity, this price will be increased by 1%.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 26 June 06

– Redemption at increased value (guaranteeing a yield of 5.25%)

– Trigger: 130% of redemption price

- Clean-up call: 10%
- Share settlement option (1% discount on the value of shares)
- Cash out option

CABLE & WIRELESS 4% 10

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days of notification of this change, convert at an adjusted conversion price according to the following table:

To 16 July 2005	116 p
To 16 July 2006	123 p
To 16 July 2007	131 p
Thereafter to maturity	138 p

Additional shares will be paid in cash.

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 16 July 07
- Redemption at par + accrued interest
- Trigger: 130% of redemption price
- Clean up call: 15%
- Cash-out option

CAP GEMINI (WENDEL) 2% 09

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date on which this bid is declared unconditional, with holders receiving:

– Share offer: continuity

– Full or partial cash offer:

The cash element received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the bid
2. if 1) is not possible, in shares of the bidder
3. if neither 1) nor 2) is possible, in shares from the CAC40

The other shares will be sold or retained at the discretion of the issuer.

OTHER SIGNIFICANT CLAUSES

- Share settlement option: at maturity only
- Cash-out option
- Clean-up call: 10%

CAP GEMINI 2.5% 10

TAKEOVER BID

- Put in the event of change in control
  - Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 2 July 07
  - Redemption at par + accrued interest
  - Trigger: 125% of redemption price

CAP GEMINI 1% 2012

TAKEOVER BID

- Continuity
- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer
- Ratchet / continuous

In case of an offer, holder will benefit from a temporary ratio enhancement (amortisation over time of the premium at issue) for conversion arising from the offer opening period to:

1. 10d after the close of this offer, if unconditional;
2. 10d after the publication of the results of this offer if conditional offer, ending successful;
3. the date of the publication of the results if the offer is conditional offer, ending unsuccessful;
4. the date of the offer removal if it happens.

$$NCP = OCP \times (1 + (CP \times C/T))$$

NCP (OCP)	new conversion price (old)
CP	conversion premium at issue (40.05%)
C	time remaining between adjustment and maturity
T	total life of the issue (2381 days)

- Put in the event of change in control

– Redemption at accreted value (2.875% guarantee)

– Exercise from 10 to 40 days after notification of the change of control

- Change of control definition: minimum of 40% of the voting rights

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 24 June 2009

– Redemption at accreted value (2.875% guarantee)

– Trigger: 130% of accreted value

– Trigger calculation: average of the opening share prices for 20 consecutive dealing days over the 40 dealing days prior to redemption notification

– Notification: 30 calendar days

- Clean-up clause: 10%

- Exceptional dividends

– Period: during the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 4%

– Div yield calculation: each dividend is divided by the equity closing price the day prior to dividend payment

– Adjustment: over 3%

$$NCR = OCR \times (1 + \text{Div Yield} - 3\%)$$

– All dividends paid after a 1st dividend adjustment and during the same fiscal year will be adjusted automatically and completely

$$NCR = OCR \times (1 + \text{Div Yield})$$

CASINO (RALLYE) 3.25% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the bid
2. if 1) is not possible, in shares of the bidder
3. if neither 1) nor 2) is possible, in shares from the CAC40

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 1 February 04

– Redemption at increased value (guaranteeing a yield of 5%)

– Trigger: 130% of redemption price

- Cash-out option
- Clean-up call: 10%

CASINO (RALLYE) 3.25% 13

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the bid
2. if 1) is not possible, in shares of the bidder
3. if neither 1) nor 2) is possible, in shares from the CAC40

- Put in the event of change in control

– Can be exercised in the 30 days following notification of change of control

– Redemption at the increased value (guaranteeing a yield of 4.75%)

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 1 July 06

– Redemption at the increased value (guaranteeing a yield of 4.75%)

– Trigger: 125% of redemption price

- Cash-out option
- Share settlement option
- Clean-up call: 10%

CEGID 2.5% 06

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 1 January 03
- – Redemption at increased value (guaranteeing yield of 5.62%)
- – Trigger: 120% of redemption price
- Clean-up call: 10%

CIMENTS FRANÇAIS (MEDIO) 2% 06

TAKEOVER BID

- The Exchange Property will become the consideration of a bid only if:

1- shareholders have accepted the bid

2- the bid is mandatory

- In this case, the Exchange Property will be definitively modified on the date the offer is declared unconditional and holders will receive:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. Ciment Français Ordinary Shares
2. and/or shares already included in the Exchange Property
3. investment in euro-denominated government bonds with a minimum rating of AA-

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 18 September 04

– Redemption at increased value (guaranteeing a yield of 3.875%)

– Trigger: 125% of redemption price

- Holder put option

– 18 September 04

– Redemption at increased value (guaranteeing a yield of 3.875%)

- Cash out option

CLUB MED 3% 08

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 30 April 06
- Redemption at increased value (guaranteeing a yield of 5.25%)
- Trigger: 130% of redemption price
- Holder put option
- 30 April 06
- Redemption at increased value (guaranteeing a yield of 5.25%)
- Clean-up call: 10%

BNP PARIBAS
Equities & Derivatives

CLUB MED 4.375% 10

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 1 November 07

– Redemption at par + accrued interest

– Trigger: 120% of redemption price

– Trigger calculation: simple average of the share closing prices for 10 consecutive dealing days over the 20 consecutive dealing days prior to early redemption notification

– Notification: 1 month prior to redemption date

- Clean-up call: 10%

- Exceptional dividends

– Period: during the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 3%

– Div yield calculation: each dividend is divided by the equity closing price the day prior to dividend payment

– Adjustment: over 2%

$$NCR = OCR \times (1 + \text{Div Yield} - 2\%)$$

– All dividends paid after a 1st dividend adjustment and during the same fiscal year will be adjusted automatically and completely

$$NCR = OCR \times (1 + \text{Div Yield})$$

BNP PARIBAS
Equities & Derivatives

CONTINENTAL 1.625% 11

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within between 40 and 60 days following notification of this change, convert at an adjusted conversion price as follows:

		Conversion ratio	Enhancement
Up to 18 May 05		2542.8039	23%
19 May 05	18 May 06	2400.3072	18%
19 May 06	18 May 07	2272.9339	14%
19 May 07	18 May 08	2158.3976	9%
19 May 08	18 May 09	2054.8508	5%
19 May 09	maturity	1960.7843	0%

Premium at issue: 37.87%

The premium is never fully reimbursed

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 19 May 09

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

– Trigger calculation: the Xetra closing share price should be > 130% for at least 15 consecutive dealing days out of the 30 dealing days prior to notification

– Notification: 20 to 40 days

- Clean up call: 15%
- Exceptional dividends

– Period: in respect of the same fiscal year

– Type: cash dividends

– Trigger: the lesser of trigger 1 and trigger 2

Trigger 1: the highest of a) €0.52 and b) 115% of total dividends paid in respect of previous fiscal year

Trigger 2: 6.5% of the average of the daily VWAP over the 365d prior to ex-date

– Adjustment: the excess

CORUS 3% 07

TAKEOVER BID

- Ratchet / based on share price

In the event of a change in control, the holder may, within 60 days of notification of this change, convert at a conversion price adjusted as follows:

NCP = OCP / (A * B / C)

NCP = new conversion price

OCP = old conversion price

A = average price of the Convertible during a period of 30 consecutive days ending 5 days before the beginning of the offer

C = average conversion price (over the same period)

B = average share price (over the same period)

- Put in the event of change in control
- – Can be exercised in the 60 days following notification of change of control
- – Redemption at increased value (guaranteeing a yield of 4.75%)

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 11 January 05
- – Redemption at increased value (guaranteeing a yield of 4.75%)
- – Trigger: 130% of redemption price
- Clean up call: 10%
- On conversion only 66.4% will be paid in shares, the remaining 33.6% will be paid in cash

DAIMLERCHRYSLER (UBS) 4.35% 10 - MANDATORY

TAKEOVER BID

- Acceptance/rejection of the offer at issuer's sole discretion
- If the issuer accepts a public offer, the Exchange Property would be modified accordingly and holders would receive in exchange the following:

– Share offer: continuity

– Full or partial cash offer:

The cash sum received for the Exchange Property will be reinvested in the following way:

1. in the shares of the bidder;
2. if 1) is not possible, in an equity included in the DJ Stoxx Automobiles & Parts;
3. if neither 1) nor 2) is possible, in an equity included in the DJ Stoxx 50 at issuer discretion

- Holder put option: in the event of an offer, holder may ask for early redemption of its bond (60 days after notification of the offer) to receive:

1. number of shares according to normal calculation of the ratio
2. accrued interests
3. present value of the remaining coupons until maturity

OTHER SIGNIFICANT CLAUSES

- Issuer call option: NONE
- Clean-up call: 10% (normal calculation of the ratio + present value of remaining coupons)
- Holder put option: NONE
- Cash-out option
- Exceptional dividends

85% of any dividends paid to shareholders (cash + kind) according to the maximum ratio but the initial maximum ratio ie not taking into account any adjustment during the life of the product

BNP PARIBAS
Equities & Derivatives

DANONE 1.7% 07

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
– From 1 January 05
– Redemption at par + accrued interest
– Trigger: 130% of redemption price
- Holder put option
– 19 June 03/04/05
– Redemption at par + accrued interest
- Clean-up call: 10%

DELHAIZE 2.75% 2009

TAKEOVER BID

- Specific version

According to Belgian regulation, shareholders' general meeting will have to accept the put for change of control to make this option available for bond holders. Then it may not be accepted!

- Put for change of control

– Redemption price: par + accrued interests

– Exercise period: 60d after the change of control notification

OTHER SIGNIFICANT CLAUSES

- Issuer call option:

– From 15 May 2007

– Redemption at par + accrued interest

– Trigger: 130% of conversion price

– Trigger calculation: average of the daily VWAP for 20 consecutive dealing days over the 30 dealing days preceding the notification date by a maximum of 14 dealing days

- Clean-up call: 15%

- Exceptional dividends

– Period: in respect of the same fiscal year

– Type: cash + kind dividends

– Trigger: the lesser of trigger 1 and trigger 2

Trigger 1: 150% of the total dividends paid in respect of previous fiscal year

Trigger 2: 5% of the average closing share prices over the 365 days prior to ex-date

– Adjustment: for the excess

DEUTSCHE POST (KFW) 0.875% 07

TAKEOVER BID

No compensation for loss of equity exposure. Cash received in a full or partial cash bid will be invested at EONIA rate.

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 09 January 06
  - Redemption at increased value (par + accrued interest)
  - Trigger: 130% of redemption price
- Clean up call: 15%

DEUTSCHE POSTBANK (D. POST) 2.65% 07

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion. If the issuer accepts the offer there is no problem. However, if the issuer rejects the offer, on the date that the offer is settled, the Exchange Property must equal the value of the offer.
- If the issuer accepts a takeover bid, the Exchange Property will be modified and holders will receive:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer
2. if 1) is not possible, in the shares of the bidder
3. if neither 1) nor 2) are possible, in shares from the DAX30

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 2 July 06

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

- Cash-out option

DEUTSCHE TELEKOM (KFW) 0.75% 08

TAKEOVER BID

No compensation for loss of equity exposure. Cash received in a full or partial cash bid will be invested at EONIA rate.

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 27 November 07
  - Redemption at increased value (par + accrued interest)
  - Trigger: 130% of redemption price
- Clean up call: 15%
- Share settlement: at maturity or exercise of the call
- Cash out option

E.ON (ERGO) 2.25% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer:

  - Cash + compensation premium CP

– Partial cash offer:

  - Continuity (for the equity element) + cash + compensation premium CP

  NB: No compensation premium will be paid after 28 September 2004.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 28 September 04

– Redemption at increased value (par + accrued interest)

– Trigger: 130% of redemption price

- Cash out option

CALCULATION DETAILS

CP = K^2 * (Principal – IP) * T/C * CB / (CB + CS)

K = minimum of IP/MP and MP/IP

Principal = €10,000

IP = €8,026.66

CB = Cash element of bid

CS = Value of equity element of bid

MP = Bond parity on the closing day of the offer

C = number of days between 14 September 2001 and the date of the call (28 September 04)

T = number of days between the closing date of the offer and the date of the call

Note however, that no compensation premium will be paid after 28 September 04!!

ELIOR 1% 07

TAKEOVER BID

- Nothing indicated in prospectus
- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 28 June 04
  - Redemption at increased value (guaranteeing a yield of 3.875%)
  - Trigger: 115% of redemption price
- Clean-up call: 10%

EMI 1.5% $ 2010

TAKEOVER BID

- Ratchet / based on share price

In the event of a change in control, the holder may, within 60 days of notification of this change, convert at a conversion price adjusted as follows:

NCP = OCP / (A * B / C)

NCP = new conversion price

OCP = old conversion price

A = average price of the Convertible during a period of 30 consecutive days ending 5 days before the beginning of the offer

C = average conversion price (over the same period)

B = average share price (over the same period) expressed in £ according to fixed rate of 1£ = 1.5957$

- Put in the event of change in control

– Can be exercised in the 60 days following notification of change of control

– Redemption at par + accrued interests

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 16 October 2007

– Redemption at par + accrued interests

– Trigger: 130% of redemption price

– Trigger calculation: average of the daily VWAP for 20 dealing days out of the 30 dealing days preceding notification by a maximum of 5 dealing days

– Notification: 30 to 90 calendar days

- Clean up call: 15%

ENDESA (CAÏXA) 0.25% 06

TAKEOVER BID

▪ Acceptance/rejection of the bid at issuer's sole discretion

▪ If the issuer accepts a takeover bid, the Exchange Property will be modified, with holders receiving the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer (if from the European Union or the USA)

2. if 1) is not possible, in shares from the same sector (from the European Union or the USA)

3. if neither 1) nor 2) are possible, in such other shares as shall be determined by an expert

OTHER SIGNIFICANT CLAUSES

▪ Issuer call option

– From 17 July 05

– Redemption at increased value (par + accrued interest)

– Trigger: 130% of redemption price

▪ Clean up call: 10%

▪ Cash-out option

ESSILOR 1.5% 10

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 2 July 08
  - Redemption at increased value (guaranteeing a yield of 2.125%)
  - Trigger: 130% of redemption price
- Holder put option
  - 2 July 08
  - Redemption at increased value (guaranteeing a yield of 2.125%)
- Clean-up call: 10%

FINMECCANICA 2% 05

TAKEOVER BID

No details in prospectus.

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 8 June 03
  - Redemption at increased value (guaranteeing a yield of 3.25%)
  - Trigger: 130% of redemption price
- Clean-up call: 10%
- Cash out option
- Share settlement: only at maturity

FORTIS (SUEZ) 4.5% 06 - ORA

TAKEOVER BID

- Acceptance/rejection of the offer at the issuer’s sole discretion, but the offer may not be accepted if the value of the offer is below the value of the Exchange Property.
- No reinvestment:

If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date on which the offer is declared unconditional, with holders receiving the consideration of the offer.

Unlisted securities will be replaced with a cash equivalent.

FORTIS FRESH PERPETUAL

TAKEOVER BID

- In the event of a change of control, the issuer will use its ‘best efforts’ to ensure that the new entity:

– Assumes its obligations to holders

– Replaces Fortis shares with listed shares with a market value equivalent to that of Fortis shares prior to the offer.

– Modifies the coupon to reflect any deterioration in credit quality.

FRANCE TELECOM 1.6% 09

TAKEOVER BID

No details in the prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 1 January 2007
  - Redemption at par + accrued interest
  - Trigger: 130% of redemption price
- Clean-up call: 10%

FRIENDS PROVIDENT 5.25% 07

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 11 December 2003	153.90 p
To 11 December 2004	160.74 p
To 11 December 2005	165.87 p
Thereafter to maturity	171.00 p

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 27 December 05
- – Redemption at par + accrued interest
- – Trigger: 130% of redemption price
- Clean up call: 15%
- Cash out option: only at maturity
- Share settlement option

GBL 2.95% 2012

TAKEOVER BID

- Specific version for 3 reasons
  1. there is a "Make Whole Amount"
  2. According to Belgian regulation, shareholders' general meeting will have to accept the put for change of control AND the ratchet clause to make these options available for bond holders. Then it may not be accepted!
  3. change of control definition = 75% of capital
- Ratchet

  In case of a change of control, holder will benefit (for 30d after notification) from a ratio enhancement according to the payment of the "Make Whole Amount"
- Put for change of control

  In case of a change of control, holder will benefit (for 30d after notification) from a put for change of control to receive

  Par + accrued interests + "Make Whole Amount"
- Make Whole Amount definition

  Is the difference between
  1. theoretical value of the convertible bond
  2. the highest of

     i) conversion value taking into account the offer price

     ii) 100% + accrued interests

OTHER SIGNIFICANT CLAUSES

- Issuer call option:
- From 11 May 2008
- Redemption at par + accrued interest
- Trigger: 130% of nominal
- Clean-up call: 15%

GEDEON RICHTER (APV) 1% € 2009

TAKEOVER BID

- In case of an offer on Gedeon Richter
– The issuer is not allowed to accept this offer
– There will no adjustment to the Exchange Property

OTHER SIGNIFICANT CLAUSES

- Issuer call option: NONE
- Cash-out option at maturity
- Share settlement at maturity
- No exchange right before maturity or from 25 August 2009 to 1st September 2009
- Exceptional dividends

– Period: in respect of the same fiscal year
– Type: cash + kind dividends
– Trigger: dividends paid in respect of the same fiscal year should be higher than the following levels

– Paid in respect of 2004	484 HUF
– Paid in respect of 2005	532 HUF
– Paid in respect of 2006	586 HUF
– Paid in respect of 2007	644 HUF
– Paid in respect of 2008	709 HUF

GENERALI (CAPITALIA) 1.625% 09

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– Full or partial cash offer:

  - Cash + compensation premium CP

NB: the compensation premium will be zero from 23 May 2007 onwards.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 23 May 07

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

- Clean up call: 15%
- Cash out option

CALCULATION DETAILS

CP = K^2 * (Principal – IP) * T/C * CB / (CB + CS)

K = minimum of IP/MP and MP/IP

Principal = €50,000

IP = €41,300.22735

CB = cash element of bid

CS = value of equity element of bid

MP = bond parity on closing date of the offer

C = 1,110 days (term of the bond)

T = number of days between closing date of the offer and 23 May 2007

BNP PARIBAS
Equities & Derivatives

GENERALI (UNICREDITO) 2.5% 08

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:
  - Continuity (adjustment of the ratio according to the offer ratio)

– Full or partial cash offer:
  - Cash + compensation premium CP

NB: the compensation premium will be zero from 3 January 2007 onwards.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 3 January 07

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

- Clean up call: 15%
- Cash out option

CALCULATION DETAILS

PC = K^2 * (Principal – IP) * T/C * CB / (CB + CS)

K = minimum of IP/MP and MP/IP

Principal = €50,000

IP = €38,461.539

CB = cash element of the bid

CS = value of equity element of the bid

MP =Bond parity on the closing date of the offer

C = 1,111 days (term of the bond)

T = number of days between closing date of the offer and 3 January 2007

GIVAUDAN 1% $ 06

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

		New conversion price (CHF)	Enhanceme nt
Prior to 7 December 2001		462	16%
08 Dec 01	07 Jun 02	477.86	13%
08 Jun 02	07 Dec 02	494.13	10%
08 Dec 02	07 Jun 03	510.82	7%
08 Jun 03	07 Dec 03	527.93	4%
08 Dec 03	07 Jun 04	545.52	1%
08 Jun 04	07 Dec 04	563.5	-2%
08 Dec 04	07 Jun 05	581.98	-6%
08 Jun 05	07 Dec 05	600.92	-9%
08 Dec 05	07 Jun 06	620.38	-13%

Note the redemption price!

Nominal: $1,000

Redemption at maturity: $1,164.2

Premium at issue: 16.8%

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 21 June 04
  - Redemption at increased value (guaranteeing 4% YTM)
- Holder put option
  - 7 September 03
  - Redemption at increased value (guaranteeing 4% YTM)
- Clean up call: 15%

BNP PARIBAS
Equities & Derivatives

HAGEMEYER 5.75% 09

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 5 February 2005:	€1.78
To 5 February 2006:	€1.83
To 5 February 2007:	€1.88
To 5 February 2008:	€1.93
To 5 February 2009:	€1.98

- Put in the event of change in control

– Can be exercised in the 60 days following notification of change of control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 19 February 07

– Redemption at par + accrued interest

– Trigger: 125% of redemption price

- Clean up call: 15%
- Cash out option

HAVAS 1% 06

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 1 January 04
- Redemption at increased value (guaranteeing a yield of 4.25%)
- Trigger: 115% of redemption price
- Clean-up call: 10%

HAVAS 4% 09

TAKEOVER BID

Nothing indicated in prospectus

Under French regulations, the Convertible would be included in the event of a bid for the shares.

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 1 January 05
- – Redemption at par + accrued interest
- – Trigger: 125% of redemption price
- Holder put option: none - there was one but the prospectus has been modified in December 2003.
- Clean-up call: 10%

BNP PARIBAS
Equities & Derivatives

HEIDELBERGER DRUCK (RWE) 0% 07

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer:

  - Cash + compensation premium CPA1

– Partial cash offer:

  - Continuity (for the equity element) + cash + compensation premium CPA2

- Put if the Exchange Property consists of 90% cash

– Can be exercised in the 15 days following the notification of an unconditional offer

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 22 June 06

– Redemption at par + accrued interest

– Trigger: 120% of redemption price

- Clean-up call: 10%
- Cash out option
- Share settlement: at maturity only

CALCULATION DETAILS

- **Cash only offer: CPA1 = CA**

CA= (Principal amount – P) * T/C

Principal amount = €50,000

P= Parity per bond = € 7 692.31 => error in the prospectus: 37 692.31 ??

T= time in years between the date of acceptance of offer and maturity

C= 3 (term of the bond)

- **Cash and share offer: CPA2 = CA * CB / (CB+CS)**

CB = Cash element of the bid

CS = Value of equity element of the bid

BNP PARIBAS
Equities & Derivatives

HEIDELBERGER DRUCK 0.875% 2012

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 20 to 40 days following notification of this change, convert at an adjusted conversion price according to the table below:

Until 1st February 2006	3532.68
Until 1st February 2007	3311.88
Until 1st February 2008	3117.07
Until 1st February 2009	2943.9
Until 1st February 2010	2788.96
Until 1st February 2011	2649.51
Until 1st February 2012	2523.34

- Put for change of control

– Exercise period: 30 days after notification

– Redemption at accreted value (3% guarantee)

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 9 February 2009

– Redemption at accreted value (3% guarantee)

– Trigger: 130% of redemption price

- Clean up call: 8.9%
- Exceptional dividends

– Period: in respect of the same fiscal year

– Type: cash dividends

– Trigger: Div yield > 0.5%

– Trigger calculation: total dividends paid in respect of the same fiscal year should be divided by the average of the daily VWAP over the previous fiscal year

– Adjustment: for the excess

HILTON GROUP 3.375% 10

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

Date		Conversion price in £	Enhancement
Until 2nd october 2004		2.3	12%
03-Oct-04	02-Oct-05	2.375	9%
03-Oct-05	02-Oct-06	2.45	6%
03-Oct-06	02-Oct-07	2.525	3%
03-Oct-07	maturity	2.6	0%

Premium at issue: 30.5%

The premium is never fully reimbursed

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 23 October 08

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

– Trigger calculation: closing share price should be higher than 130% of the redemption price for at least 20 consecutive dealing days out of the 30 dealing days preceding the redemption notification by a maximum of 14 dealing days

– Notification: 30 to 90 days

- Clean up call: 15%
- Cash out option: HAS BEEN REMOVED
- Share settlement option
- Exceptional dividends

– Period: DURING the same fiscal year

– Type: cash + kind dividends

– Trigger: > 120% of total dividends paid in respect of previous fiscal year

– Adjustment: for the excess (DE)

NCP = OCP ((S – DE) / S)

S = average closing share price over the 5 consecutive dealing days prior to announcement date

HOCHTIEF (RWE) 0.875% 07

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer:

  - Cash + compensation premium CPA1

– Partial cash offer:

  - Continuity (for the equity element) + cash + compensation premium CPA2

- Put in the event of change in control (for an offer where cash accounts for at least 90% of the offer).

– Can be exercised in the 60 days following notification of change of control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 20 April 06

– Redemption at par + accrued interest

– Trigger: 120% of redemption price

- Clean-up call: 10%
- Cash out option

CALCULATION DETAILS

- **Cash offer: CPA1 = CA**

CA= (Principal amount - P) * T/C

Principal amount = €10,000

P= Parity per bond = €7,692.31

T= duration in years between the date the offer is accepted and maturity

C= 3 (term of the bond in years)

- **Cash and shares offer: CPA2 = CA * CB / (CB+CS)**

CB = cash element of offer

CS = value of equity element of offer

BNP PARIBAS
Equities & Derivatives

HOLCIM 1% 2012

TAKEOVER BID

- Continuity
- Ratchet / continuous

In case of an effective change of control (minimum 90% of capital) and if:

1. this change of control happens before 10 June 2007
2. and the cash amount represents a minimum of 25% of the total consideration of the offer;

the holders will benefit from a temporary ratio enhancement (amortisation over time of the premium at issue) for conversion arising from the offer opening period to:

NCP = RP x (1 + (CP x (1 - C/T))

NCP	new conversion price (old)
RP	reference share price at issue = CHF 73.0628
CP	conversion premium at issue (21%)
C	time remaining between adjustment and 10 June 07
T	total life of the issue between 10 June 2002 and 2007

- Put in the event of change in control

– Redemption at accreted value (2.5% guarantee)

– Exercise over 60 days after notification of the change of control

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 10 June 2007

– Redemption at accreted value (2.5% guarantee)

– NO TRIGGER

- Clean-up clause: 10%
- Holder put option

– 10 June 2007 & 2009

– redemption price at accreted value (2.5% guarantee)

- cash-out option: HAS BEEN REMOVED

HOLCIM 0% $ 2017

TAKEOVER BID

- Continuity
- Ratchet / continuous

In case of an effective change of control (minimum 90% of capital) and if:

3. this change of control happens before 10 June 2008
4. and the cash amount represents a minimum of 25% of the total consideration of the offer;

the holders will benefit from a temporary ratio enhancement (amortisation over time of the premium at issue) for conversion arising from the offer opening period to:

NCP = RP x (1 + (CP x (1 – C/T))

NCP	new conversion price (old)
RP	reference share price at issue = CHF 73.0628
CP	conversion premium at issue (22%)
C	time remaining between adjustment and 10 June 08
T	total life of the issue between 10 June 2002 and 2008

- Put in the event of change in control
- – Redemption at accreted value (4% guarantee)
- – Exercise over 60 days after notification of the change of control

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 10 June 2008
- – Redemption at accreted value (4% guarantee)
- – NO TRIGGER
- Clean-up clause: 10%
- Holder put option
- – 10 January 2006; 10 June 2008; 2010 & 2014
- – redemption price at accreted value (4% guarantee)
- cash-out option: HAS BEEN REMOVED

BNP PARIBAS
Equities & Derivatives

INFINEON (SIEMENS) 1% 05

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer:

  - Cash + compensation premium CPA1
  - NB: no compensation premium has been available since the Bond became callable (12 August 03)

– Partial cash offer:

  - Continuity (for the equity element) + cash + compensation premium CPA2
  - NB: no compensation premium has been available since the Bond became callable (12 August 03)

- Issuer's hard call

In the event of an offer where cash represents at least 85% of the offer, the issuer can make early redemption at the following price:

– increased value (par + accrued interest) + CPA3

– NB: CPA3 has been zero since 12 August 03

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 12 August 03

– Redemption at increased value (guaranteeing a yield of 2%)

– Trigger: 115% of redemption price

- Clean-up call: 15%
- Cash out option

CALCULATION DETAILS

- Cash offer: CPA1 = CA + IY'

if P'>= P, CA= P / (P' * (1+(P'– P) / P) * (€100,000 – P – IY) * T/C

if P'<= P, CA= P' / (P * (1+(P – P') / P') * (€100,000 – P – IY) * T/C

P= Parity per bond = €77,210

P'= Parity of the bond on the day the offer is accepted => conversion ratio on the day offer is accepted * VWAP of the shares on the day offer is accepted

T= duration in years between day offer is accepted and date of the call (12 August 03)

C= 3 (duration of call protection)

IY= (2% * €100,000 – D * E) * C

IY' = (2% * €100,000 – D * E) * T

D= Cash dividend cash paid by Infinéon against earnings in the year to 30 September 1999 = 0

E = conversion ratio at issue = 1000

- Cash and shares offer:

CPA2 = CA * CB / (CB+CS)

CB = Amount of cash offer

CS = value of share offer

- CPA3 = (CA+IY') * CB / (CB+CS)

INFINEON 4.25% 07

TAKEOVER BID

- Ratchet: fixed steps

  In the event of a change in control, the holder may, within between 40 days and 60 days following notification of this change, convert at a reduced conversion price as follows:

To 5 February 2005	7.82% reduction
From 6 February 2005	no reduction

- Put in the event of change in control
- – Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 6 February 05
- – Redemption at par + accrued interest
- – Trigger: 115% of redemption price
- Clean up call: 20%
- Cash-out option

INFINEON 5% 10

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within between 40 days and 60 days following notification of this change, convert at a reduced conversion price as follows:

To 4 June 2005	21% reduction
To 4 June 2006	15.75% reduction
To 4 June 2007	10.50% reduction
To 4 June 2008	5.25% reduction
From 5 June 2008	0% reduction

- Put in the event of change in control
– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
– From 5 June 06
– Redemption at par + accrued interest
– Trigger: 125% of redemption price
- Clean up call: 20%
- Cash-out option

INTERNATIONAL POWER 2% 05

TAKEOVER BID

- Put in the event of change in control

– Can be exercised in the 60 days following notification of change of control

– Redemption: 112.389% + accrued interest, corresponding to the level of redemption at maturity.

OTHER SIGNIFICANT CLAUSES

- Holder put option

– 24 November 2003

– Redemption at 107.119%

- Clean up call: 15%

INTERNATIONAL POWER 3.75% $ 23

TAKEOVER BID

- Ratchet / based on the share price

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the following formula:

NCP = OCP * (A * B / C)

NCP = new conversion price

OCP = old conversion price

A = average price of the Convertible over a 12 month period

C = average conversion price (same calculation period)

B = average share price (same calculation period)

- Put in the event of change in control
- – Can be exercised in the 60 days following notification of change of control
- – Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 13 September 08 to 12 September 10

  Redemption at par + accrued interest

  Trigger: 130%
- – From 13 September 10

  Redemption at par + accrued interest

  Hard call – no trigger
- Holder put option

  22 August 2010/13/18

  Redemption at par
- Clean up call: 15%
- Cash-out option
- Share settlement option: on maturity or put

KBC 2.5% 2005

TAKEOVER BID

- In the event of a change in control, a Trust Deed should ensure that holders will have the right to convert their Convertibles into shares in the new entity. This Trust will supply details of the necessary adjustments.
- In the event of a takeover offer to shareholders, KBC will endeavour to obtain a similar offer either extended to the shares underlying the Convertibles and/or to holders of the Convertibles.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 24 December 01

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

LAFARGE 1.5% 06

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 1 July 03
- Redemption at increased value (guaranteeing a yield of 3.5%)
- Trigger: 120% of redemption price
- Clean-up call: 10%

LEGAL AND GENERAL 2.75% 06

TAKEOVER BID

- Ratchet / based on the share price

In the event of a change in control, the holder may, within 60 days, convert at an adjusted conversion price according to the following formula:

NCP = Y/30

NCP = new conversion price

Y = sum of RCP over 30 days

RCP = A * APC / B

A = price of the Convertible for a period of 30 consecutive days ending 5 days before the beginning of the offer

APC = conversion price (same calculation period)

B = share price (same calculation period)

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 3 January 05
- Redemption at par + accrued interest
- Trigger: 120% of redemption price
- Clean-up call: 15%
- Cash-out option

LINDE 1.25% 09

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within between 40 days and 60 days following notification of this change, convert at an enhanced conversion ratio as follows

To 4 May 2005	2,053.3038
To 4 May 2006	1,949.5077
To 4 May 2007	1,855.6663
Thereafter to maturity	1,770.4755

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 5 May 07

– Redemption at par + accrued interest

– Trigger: 120% of redemption price

- Clean up call: 13.64%

- Share settlement option: at maturity only with a compensation premium if the share price is equal to at least 65.1% of the conversion price

LOGICACMG 2.875% 08

TAKEOVER BID

- Ratchet / fixed steps

In the event of a change of control, the holder may, within between 40 days and 60 days following notification of this change, convert at an enhanced conversion price as follows

Until 19-September-2005	293 p
Until 19-September-2006	313 p
Until 19-September-2007	355 p
Until Maturity	363 p

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 3 October 2006
- Redemption at par + accrued interest
- Trigger: 140% of the redemption price
- Clean up call: 15%
- Cash-out option
- Share settlement option : at maturity + call option

LONZA 1.5% 2009

TAKEOVER BID

- Continuity
- Ratchet / continuous

In case of an effective change of control (minimum 50% of capital) ONLY IF the surviving entity is not listed in Europe, Switzerland, USA, Canada, Japan, holders will benefit from a temporary ratio enhancement (amortisation over time of the premium at issue) for conversion arising from the offer opening period to:

$$NCP = RP \times (1 + (CP \times (1 - C/T))$$

NCP	new conversion price
RP	conversion price 5 days prior to change of control notification
CP	conversion premium at issue (32.9876%)
C	time remaining between adjustment and 1st July 2009
T	total life of the issue

- Put in the event of change in control ONLY IF the surviving entity is not rated BBB+ or is not assigned a BBB+ rating within the 2 months following the acquisition

– Redemption at par + accrued interests

– Exercise over 60 days after notification of the change of control

OTHER SIGNIFICANT CLAUSES

- Issuer call option: NONE
- Clean-up clause: 15%
- Exceptional dividends

– Period: DURING the same fiscal year

– Type: cash

– Trigger: total dividends paid during the same fiscal year should higher than the following levels

Paid in 2006	CHF 1.5
Paid in 2007	CHF 1.6
Paid in 2008	CHF 1.7
Paid in 2009	CHF 1.8

– Adjustment: for the excess

$$NPC = OPC (S - DE) / s$$

S = closing share price the day prior to ex-date

All additional dividends = completely adjusted

LUFTHANSA 1.25% 12

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within between 60 days and 90 days following notification of this change, convert at an adjusted conversion price as follows:

To 4 January 2005	€18.40
To 4 January 2006	€19.28
To 4 January 2012	€20.16

- Put in the event of change in control
  - Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 4 January 05
  - Redemption at par + accrued interest
  - Trigger: 130% of redemption price
- Holder put option
  - 4 January 2006/08/10
  - Redemption at par + accrued interest
- Clean up call: 10%

LVMH (FA) 0% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– Full or partial cash offer:

  - Cash + compensation premium CP

- Issuer hard call

In the event of a full cash offer, the issuer may make early redemption at the higher of:

1. increased value (guaranteeing a yield of 3%)
2. the amount of the cash offer

OTHER SIGNIFICANT CLAUSES

- Cash out option

CALCULATION DETAILS

CP = K^2 * (Issue price – PI) * T/C * CB / (CB + CS)

K = PI/VE if VE > PI

K = VE / PI if VE < PI

Issue price = €67.82

PI = Reference price of the share at issue = 54.26 €

CB = amount of cash element of the offer

CS = value of equity element of the offer

VE =Bond parity on date offer accepted

C = 1,461 days (term of the bond)

T = number of days between closing date of the offer and 13 May 2006 (maturity)

MAN GROUP 3.75% 09

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 12 November 2003:	1,069p
To 12 November 2004:	1,117p
To 12 November 2005:	1,166p
To 12 November 2006:	1,244p
To 12 November 2007:	1,263p
Thereafter to maturity:	1,282p

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 16 May 05
- – Redemption at par + accrued interest
- – Trigger: 170% of redemption price
- Clean up call: 15%
- Cash out option
- Share settlement option: at maturity and on call

NESTLÉ 0% 08

TAKEOVER BID

No details in the prospectus

OTHER SIGNIFICANT CLAUSES

- Put in the event of change in control

Solely in the event that Nestlé ceases to hold, directly or indirectly, 51% of Nestlé Holding Inc:

– Redemption at increased value (guaranteeing a yield of 2.625%)

- Holder put option

– 11 June 2006 at 94.81%

- Issuer call option

– From 1 December 05

– Redemption at increased value (guaranteeing a yield of 3.62%)

– Trigger: 120% of redemption price

- Clean-up call: 10%

- Exceptional dividends

– Period: in respect of the same fiscal year

– Type: cash only

– Trigger: Div Yield > 5%

– Trigger calculation: total dividends in respect of the same fiscal year divided by the average of the daily VWAP over the 365 days prior to the announcement date

– Adjustment: the excess of the previous fiscal year dividends

BNP PARIBAS
Equities & Derivatives

NORILSK (UBS) 0% $ 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- The Exchange Property will consist of the offer consideration ONLY if
    1. Shareholders have accepted the offer (offer declared unconditional)
    2. Offer is compulsory
- In this case, the Exchange Property will be definitively modified with holders receiving the following at exchange:

– Share offer:

Continuity (adjustment of the ratio according to the offer ratio)

– Full cash offer:

Cash will re-invested into the followings at the issuer absolute discretion

1. Shares of the bidder;
2. OR, American Government Bonds

– partial cash offer:

Cash will re-invested into the followings

1. shares of the bidder;
2. OR, if 1) will cause prejudice to the issuer, into US Government Bonds

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 22 December 2004
- Redemption: par + accrued interests
- Trigger: 115% of nominal
- Trigger calculation: share price should reach at least 115% of nominal each day for 20 dealing days out of 30 days
- Clean-up call: 15%

NUMICO 3% 10

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 11 July 2004	€14.58
To 11 July 2005	€15.741
To 11 July 2006	€16.8929
To 11 July 2007	€18.0446
To 11 July 2008	€19.1964
To 11 July 2009	€20.3482
Thereafter to maturity	€21.5

- Put in the event of change in control
– May be exercised between 30 days and 60 days following notification of change in control
– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
– From 11 July 08
– Redemption at par + accrued interest
– Trigger: 150% of redemption price
- Clean up call: 10%
- Exceptional dividend: DIVIDEND PASS THROUGH
– Period: any dividend paid to shareholders (DE)
– Adjustment of the conversion price

NCP = OCP ((S – DE) / S)

S = simple average of the closing share price for 8 dealing days ending the day prior to payment date

NUMICO 4.25% 05

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

From 26 June 2000 to 26 June 2001	€50.414
From 26 June 2001 to 26 June 2002	€52.871
From 26 June 2002 to 26 June 2003	€55.328
From 26 June 2003 to 26 June 2004	€57.785

- Put in the event of change in control

– May be exercised during a period from 30 days to 60 days after notification of change in control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 26 June 03

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

- Clean up call: 10%

BNP PARIBAS
Equities & Derivatives

OENEO 3% 06

TAKEOVER BID

Nothing indicated in prospectus

Under French regulations, the Convertible would be included in the event of a bid for the shares.

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 1 January 03
  - Redemption at increased value (guaranteeing a yield of 5%)
  - Trigger: 120% of redemption price
- Clean-up call: 10%

BNP PARIBAS
Equities & Derivatives

OLD MUTUAL 3.625% 05

TAKEOVER BID

- Put in the event of change in control
  - May be exercised at any time after the change in control
  - Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 16 May 03
  - Redemption at par + accrued interest
  - Trigger: 120% of redemption price
- Clean up call: 10%

OLIVETTI 1.5% 10

TAKEOVER BID

No details in the prospectus

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 1 January 2004
- Redemption at increased value (guaranteeing a yield of 3.5%)
- Trigger: 140% of redemption price

OMV 1.5% 2008

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at a reduced conversion price according to the table below:

Until 30 Nov 2005	21.8475% (reduction level)
Until 30 Nov 2006	14.4901%
Until 30 Nov 2007	7.1326%
Until 30 Nov 2008	0%

- Put in the event of change in control

– May be exercised during a period from 10 days to 30 days after notification of change in control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 1 January 2007

– Redemption at par + accrued interest

– Trigger: 125% of redemption price

– Trigger calculation: simple average of the daily VWAPs for 20 dealing days over the 30 dealing days prior to notification

– Notification: 30 to 90 days before redemption

- Clean up call: 10%

- Exceptional dividends

– Period: in respect of the same fiscal year

– Type: cash dividends

– Trigger: Div Yield > 3.5%

– Adjustment: the excess of 3.5% (DE)

NCP = OCP ((S – DE) / S)

S= simple average of the daily VWAPs for 10 dealing days prior to ex-date

OTE (HELLENIC FINANCE) 2% 05

TAKEOVER BID

- Acceptance/rejection of the offer at the **sole discretion of bondholders**
- In the event of acceptance the Exchange Property would be definitively modified at the date on which this offer is declared unconditional with holders receiving:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer
2. if 1) is not possible in the shares of the bidder
3. if neither 1) nor 2) is possible in shares from the FTSE / ASE20

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 16 August 04

– Redemption at increased value (guaranteeing a yield of 4.38%)

– Trigger: 120% of redemption price

- Cash out option

PORTUGAL TELECOM 2% 06

TAKEOVER BID

- Put in the event of change in control
  - Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 6 December 2004
  - Redemption at par + accrued interest
  - Trigger: 115% of redemption price
- Clean-up call: 10%
- Cash-out option

PPR (ARTEMIS) 1.5% 07

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion

- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– Full or partial cash offer:

In this event **the issuer must** make early redemption of all bonds at the higher of:

1. the increased value (guaranteeing a yield of 5%)
2. the amount of the mixed or all cash offer

   In addition, in the event of early redemption before 16 May 2005, the price will be increased by 1%.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 16 May 05

– Redemption at increased value (guaranteeing 5% YTM)

– Trigger: 125% of redemption price

– Trigger calculation: average closing share prices for 20 consecutive dealing days over the 30 dealing days prior to notification by a maximum of 5 dealing days

- Share settlement option: at maturity only

- Cash out option

- Exceptional dividends

– Period: during the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 5%

– Div yield calculation: each dividend is divided by the equity closing price the day prior to dividend payment

– Adjustment: over 5%

$$NCR = OCR \times (1 + \text{Div Yield} - 5\%)$$

– All dividends paid after a 1st dividend adjustment and during the same fiscal year will be adjusted automatically and completely

$$NCR = OCR \times (1 + \text{Div Yield})$$

PPR 2.5% 08

TAKEOVER BID

Nothing indicated in prospectus.

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 1 December 05

– Redemption at increased value (guaranteeing 3.62% YTM)

– Trigger: 120% of redemption price

- Clean-up call: 10%

- Exceptional dividends

– Period: during the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 6%

– Div yield calculation: each dividend is divided by the equity closing price the day prior to dividend payment

– Adjustment: over 3.5%

NCR = OCR x (1 + Div Yield - 3.5%)

– All dividends paid after a 1st dividend adjustment and during the same fiscal year will be adjusted automatically and completely

NCR = OCR x (1+ Div Yield)

PUBLICIS 0.75% 08

TAKEOVER BID

- Ratchet

In the event of a change in control, a holder converting during the offer period will benefit from a compensation premium calculated as follows:

CP = 23.1% * T/C

T= number of days remaining to maturity

C = 1,827

- Put in the event of change in control
- Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 15 December 05
- Redemption at par + accrued interest
- Trigger: 130% of redemption price
- Clean up call: 10%

PUBLICIS 1% 18

TAKEOVER BID

- Ratchet

In the event of a change in control, a holder converting during the offer period will benefit from a compensation premium calculated as follows:

35% * T/C

T= number of days remaining to maturity

C = 5,843

- Put in the event of change in control

– Redemption at increased value (guaranteeing a yield of 2.75%)

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 18 January 07

– Redemption at increased value (guaranteeing a yield of 2.75%)

– Trigger: 125% of redemption price

- Holder put option:

– 18 January 2006/10/14

– Redemption at increased value (guaranteeing a yield of 2.75%)

- Clean up call: 10%

QIAGEN 1.5% $ 2024

TAKEOVER BID

- Ratchet: fixed steps <u>(ending at 1st call/put date)</u>

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at a reduced conversion price according to the table below:

18 Aug 04 to 17 Aug 2005	$ 9.03
18 Aug 05 to 17 Aug 2006	$ 9.55
18 Aug 06 to 17 Aug 2007	$ 10.06
18 Aug 07 to 17 Aug 2008	$ 10.58
18 Aug 08 to 17 Aug 2009	$ 11.10
18 Aug 09 to 17 Aug 2010	$ 11.61
18 Aug 10 to 17 Aug 2011	$ 12.13
18 Aug 11 to 17 Aug 2024	$ 12.64

- Put in the event of change in control

– May be exercised during a period from 30 days to 60 days after notification of change in control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 18 Aug 2011

– Redemption at par + accrued interest

– Trigger: 120% of redemption price

– Trigger calculation: closing share price should be higher than 120% of redemption price at least for 20 dealing days prior to notification by a maximum of 5 dealing days

– Notification: 30 to 60 days before redemption

- Holder put option

– 18 Aug 2011 & 2014 & 2019

– redemption at par + AI

RALLYE 3.75% 08

TAKEOVER BID

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Put in the event of change in control

– defined as Rallye's holding of voting rights in Casino dropping below one-third for any reason other than a merger of Casino.

– Redemption at increased value (guaranteeing a yield of 5.5%)

- Issuer call option

– From 1 January 06

– Redemption at increased value (guaranteeing a yield of 5.5%)

– Trigger: 125% of redemption price

- Clean-up call: 10%

BNP PARIBAS
Equities & Derivatives

RANK 3.875% 09

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 20 January 05:	£3.32
To 20 January 06:	£3.42
To 20 January 07:	£3.52
To 20 January 08:	£3.62
Thereafter to maturity:	£3.72

- Put in the event of change in control
- – Can be exercised in the 60 days following notification of change of control
- – Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 4 February 07
- – Redemption at par + accrued interest
- – Trigger: 130% of redemption price
- Clean up call: 15%
- Cash out option
- On conversion only 66.4% will be paid in shares, the other 33.6% being paid in cash

REMY COINTREAU 3.5% 06

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 1 April 04
- – Redemption at increased value (guaranteeing a yield of 5.5%)
- – Trigger: 120% of redemption price
- Clean-up call: 10%

REPSOL (PEMEX) 4.5% $ 11

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer
2. if 1) is not possible, in shares in the bidder
3. if neither 1) nor 2) are possible, in shares from the Energy sector of FTSE Eurotop 100 (at the issuer's discretion)

If shares which do not fall into categories 1), 2) or 3) above are included in the offer, the issuer must sell them and invest them according to rules 1), 2) and 3).

- Put if the Exchange Property consists of 95% or more of cash:

– Can be exercised between 75 and 90 days after notification of an unconditional offer

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 9 February 08

– Redemption at increased value (par + accrued interest)

– Trigger: 130% of redemption price

- Clean up call: 10%
- Cash out option

ROCHE 0% $ 21

TAKEOVER BID

No details in prospectus

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 25 July 07
  - Redemption at increased value (guaranteeing 3.63% YTM)
  - Trigger: 120% of redemption price
- Cash out option
- Holder put option
  - 25 January 2005/07/11/16
  - Redemption at increased value (guaranteeing 3.63% YTM)

ROLLS ROYCE (BMW) 1.875% 08

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested in listed shares in the bidder or in any other listed shares at the issuer's discretion.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 18 December 06

– Redemption at increased value (par + accrued interest)

– Trigger: 130% of redemption price

- Cash out option
- Share settlement

RWE (ALLIANZ) 1.25% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be modified, with holders receiving:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be invested in:

1. shares in the bidder
2. if 1) is not possible, in other shares (at the issuer's discretion)

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 20 December 04

– Redemption at increased value (guaranteeing a yield of 1.75%)

– Trigger: 125% of redemption price

- Cash-out option

BNP PARIBAS
Equities & Derivatives

RWE (STATDWERKE DUSSELDORF) 1.75%

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the bid
2. if 1) is not possible, in shares of the bidder
3. if neither 1) nor 2) is possible, in shares from the CAC40

- Put in the event of change in control (if the Exhange Property is at minimum 90% cash)

– Can be exercised in the 30 days following notification of change of control

– Redemption at par + accrued interests

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 5 July 2007

– Redemption at par + accrued interests

– Trigger: 130% of redemption price

– Trigger calculation: the daily VWAP should reached 130% of the redemption price for at least 20 dealing days out of 30 dealing days prior to notification date ending by a maximum of 8 dealing days

– Notification: 30 to 90 days

- Cash-out option
- Share settlement option: only at maturity
- Clean-up call: 10%

SAINT GOBAIN 2.625% 07

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 18 February 05
- Redemption at par + accrued interest
- Trigger: 125% of redemption price
- Clean-up call: 10%

SCOTTISH AND SOUTHERN ENERGY 3.75% 2009

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 29 Oct 2005	806.25 p
To 29 Oct 2006	843.75 p
To 29 Oct 2007	868.14 p
To 29 Oct 2008	900 p
Until maturity	900 p

OTHER SIGNIFICANT CLAUSES

- Issuer call option: NONE
- Clean up call: 15%
- Holder put option
– 29 Oct 2007 at par + AI
- Exceptional dividends
– Period: in respect of the same fiscal year
– Type: cash + kind dividends
– Trigger: trigger 1 OR trigger 2

Trigger 1: dividend should be announced as exceptional by the issuer, the Board of Directors

Trigger2: total dividends in respect of the same fiscal should exceed the following levels

In respect year ending 31 Mar 05	p 41
In respect year ending 31 Mar 06	p 44.7
In respect year ending 31 Mar 07	p 48.7
In respect year ending 31 Mar 08	p 53.1
In respect year ending 31 Mar 09	p 57.9
In respect year ending 31 Mar 10	p 63.1

– Adjustment: for total dividends if trigger 1; for the excess if trigger2

NPC = OPC (S – DE) / S

S = average of the daily VWAP for 5 days prior to announcement of the dividend

SCOTTISH POWER 4% $ PERPETUAL

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 10 July 2005	386 p
To 10 July 2006	404.5 p
To 10 July 2007	423 p
To 10 July 2008	441.5 p
From 11 July 2008 to 11 July 2011	460 p

(11 July 2011 = 1st rest date)

- Put for change of control
- – Redemption at par + accrued interest
- – Exercise for the 60 days following the notification

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 10 July 09 to 9 July11
  - Redemption at par + accrued interest
  - Trigger: 130%
- – From 10 July11
  - Redemption at par + accrued interest
  - Hard call – no trigger
- – Notification: 30 to 90 days
- Clean up call: 15%
- Conversion: until 3 July 2011
- Coupons:
- – Until 11 July 2011: 4%
- – Afterwards: 4% + 3m US deposit
- Exceptional dividends
- – Period: in respect of the same fiscal year
- – Type: cash + kind dividends
- – Trigger: trigger 1 OR trigger 2

Trigger 1: dividend should be announced as exceptional by the issuer, the Board of Directors

Trigger2: total dividends in respect of the same fiscal should exceed the following levels

In respect year ending 31 Mar 05	p 29.95
In respect year ending 31 Mar 06	p 32.197
In respect year ending 31 Mar 07	p 34.611
In respect year ending 31 Mar 08	p 37.207
In respect year ending 31 Mar 09	p 39.998
In respect year ending 31 Mar 10	p 42.997
In respect year ending 31 Mar 11	p 46.222

- Adjustment: for total dividends if trigger 1; for the excess if trigger2

NPC = OPC (S - DE) / S

S = average of bid/offer quotations for 5 days prior to the ex-date

SERONO 0.5% 08

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 26 November 2004	920 CHF
To 26 November 2005	1085.04 CHF
To 26 November 2006	1250.07 CHF
From 27 November 2006	1415.11 CHF

- Put in the event of change in control
  - May be exercised in the 30 days following notification of change in control
  - Redemption at increased value (guaranteeing a yield of 1.62%)

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 10 December 06
  - Redemption at increased value (guaranteeing a yield of 1.62%)
  - Trigger: 115% of redemption price
- Clean up call: 15%

SGL CARBON 3.5% 08

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, in a period between 60 days and 90 days after the notification of this change, benefit from a conversion price adjusted according to the table below (the conversion price has already been changed, and the table takes account of this change):

Date	Old adjustment	New adjustment
from 18-Oct-2000 to 17-Sept-2001	74.84	**103.004774**
From 18-Sept-2001 to 17-Sept-2002	78.41	**107.9182834**
From 18-Sept-2002 to 17-Sept-2003	81.97	**112.8180295**
From 18-Sept-2003 to 17-Sept-2004	85.54	**117.7315389**
From 18-Sept-2004 to 17-Sept-2005	89.1	**122.6312849**

- Put in the event of change in control
- – Can be exercised in the 60 days following notification of change of control
- – Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 18 September 03
- – Redemption at par + accrued interest
- – Trigger: 130% of redemption price
- Cash-out option

SIEMENS (ALLIANZ) 2% 05

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:
  - Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer:
  - Cash + compensation premium CPA1
  - NB: no compensation premium has been payable since the bond became callable (23 March 03)

– Partial cash offer:
  - Continuity (for the equity element) + cash + compensation premium CPA2
  - NB: no compensation premium has been payable since the bond became callable (23 March 03)

- Issuer's hard call

In the event of an offer in which cash accounts for at least 90% of the total, the issuer can trigger early redemption at the following price:

– increased value (par + accrued interest) + CPA3

– NB: CPA3 has been equal to zero since 23 March 03

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 23-March-03

– Redemption at increased value (guaranteeing a yield of 2.25%)

– Trigger: 115% of redemption price

- Clean-up call: 10%
- Cash out option

CALCULATION DETAILS

- Cash offer: CPA1 = CA + IY'

if P'>= P, CA= P / (P' * (1+(P'– P) / P) * (€50,000 – P – IY) * T/C

if P'<= P, CA= P' / (P * (1+(P – P') / P') * (€50,000 – P – IY) * T/C

P= Parity per bond = €7751.9436

P'= Bond parity on date offer accepted =>conversion ratio on date offer accepted * VWAP of shares on date offer accepted

T= fromration in years between date of acceptance and date of the call (23 March 03) => currently equal to zero

C= 3 (fromration of call protection)

IY= (2% * €50,000 – D * E) * C

IY' = (2% * €50,000 – D * E) * T

D= Cash dividend paid by Siemens against earnings in the year to 30 September 1999.

E = conversion ratio at issue = 44.5514

- Cash and share offer: CPA2 = CA * CB / (CB+CS)

CB = cash amount offered

CS = value of shares offered

- Premium for hard call: CPA3 = (CA+IY') * CB / (CB+CS)

SIEMENS 1.375% 10

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion ratio according to the table below:

To 3 November 2005	2,113.2847
To 3 November 2006	1,932.5950
Thereafter to maturity	1,780.37

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 18 June 07
  - Redemption at par + accrued interest
  - Trigger: 130% of redemption price
- Clean up call: 16%
- Cash-out option
- Contingent conversion

BNP PARIBAS
Equities & Derivatives

SKYEPHARMA 6% 2024

TAKEOVER BID

- Continuity
- Ratchet / continuous (ending at 1st call date)

In case of an effective change of control (50% of capital), holder will benefit from a temporary ratio enhancement (amortisation over time of the premium at issue) for conversion arising over a 60 days period after notification

NCP = RP x (1 + (CP x (1– C/T)))

NCP (OCP)	new conversion price (old)	
RP	reference price of the equity at issue = 0.606£	
CP	conversion premium at issue (65%)	
C	time remaining between adjustment and 20 May 09	
T	time between 20 may 04 and 20 May 09	
Adjusted price at	4 May 2006	0.685£
	4 May 2007	0.764£
	4 May 2008	0.842£
	4 May 2009	1£

- Put in the event of change in control ONY if offer consideration is at 50% cash

– Redemption at par + accrued interests

– Exercise over 60 days after notification of the change of control

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 20 May 2009

Redemption at par + accrued interests

Trigger: 130% of accreted value

– From 20 May 2011

Redemption at par + AI

Trigger = NONE

– Trigger calculation: closing share price should reached that level at least for 20 consecutive dealing days prior to notification by a maximum of 14 dealing days

– Notification: 30 to 90 days

- Clean-up clause: 15%

- Holder put option

– 4 May 2009 & 2011 & 2014 & 2019

– redemption at par + AI

– holder notification at least 35 days before put date

- Exceptional dividends: a dividend pass through clause

– Period: any dividend

– Type: cash + kind

– DE: total dividend paid to shareholders

– Adjustment:

$$NPC = APC \times ((S - De) / S)$$

S = closing share price the day prior to ex-date

- Conversion period restrictions

Conversion right only according to the following circumstances

1. closing share price the day prior to notification is > 110% of the conversion price
2. 5 dealing days following 5 dealing days during which the CB closing price has < 100% of the closing share price x conversion ratio
3. if convertible has been called for early redemption
4. if there cash, rights etc…distribution to shareholders

BNP PARIBAS
Equities & Derivatives

SKYEPHARMA 8% 2025

TAKEOVER BID

- Continuity
- Ratchet / continuous (ending at 1st putl date)

In case of an effective change of control (50% of capital), holder will benefit from a temporary ratio enhancement (amortisation over time of the premium at issue) for conversion arising over a 60 days period after notification

NCP = RP x (1 + (CP x (1– C/T)))

NCP (OCP)	new conversion price (old)	
RP	reference price of the equity at issue = 0.5414£	
CP	conversion premium at issue (50%)	
C	time remaining between adjustment and 3 June 10	
	Or if reset happens, between reset and 3 June 10	
T	time between 3 June 05 and 3 Jun 2010	
Adjusted price at	3 June 2006	0.5955£
	3 June 2007	0.6497£
	3 June 2008	0.7038£
	3 June 2009	0.7580£
	3June 2010	0.8121£

- Put in the event of change in control ONY if offer consideration is at 50% cash

– Redemption at par + accrued interests

– Exercise over 60 days after notification of the change of control

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 10 June 2008

Redemption at par + accrued interests

Trigger: 15% of accreted value

– From 2 June 2012

Redemption at par + AI

Trigger = NONE

– Trigger calculation: closing share price should reached that level at least for 20 consecutive dealing days prior to notification by a maximum of 14 dealing days

– Notification: 30 to 90 days

▪ Clean-up clause: 15%

▪ Holder put option

– 3 June 2010 & 2012 & 2015 & 2020

– redemption at par + AI

– holder notification at least 35 days before put date

▪ Exceptional dividends: <u>a dividend pass through clause</u>

– Period: any dividend

– Type: cash + kind

– DE: total dividend paid to shareholders

– Adjustment:

NPC = APC x ((S - De) / S)

S = closing share price the day prior to ex-date

▪ Conversion period restrictions

from 14th July to 7th day before redemption

▪ RESET clause

On 3rd June 2006, si the average closing share price for 10 dealing days < at the conversion price; this conversion price will become the average BUT this new conversion price will never be below 75% of the conversion price before reset date

No reset if

1. 2 members of the Board certify that a minimum o £ 4.5m (nominal) of the convertible bond has been converted
2. the VWAP has reached one day from issue date to 19 June 2005 at minimum of 0.83£

SOGECABLE (VU) 1.75% 08

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer
2. if 1) is not possible in shares of the bidder
3. if neither 1) nor 2) is possible in shares in the IBEX35

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 30 October 06

– Redemption at increased value (par + accrued interest)

– Trigger: 125% of redemption price

- Clean up call: 10%

SR TELEPERFORMANCE 3.25% 08

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 31 January 07
  - Redemption at par + accrued interest
  - Trigger: 125% of redemption price
- Clean-up call: 10%

STANDARD CHARTERED 4.5% € 10

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 30 March 2001:	833 p
To 30 March 2002:	870.14 p
To 30 March 2003:	907.28 p
To 30 March 2004:	944.42 p
To 30 March 2005:	981.56 p
Thereafter to maturity:	1,018.70 p

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 15 April 05
- Redemption at par + accrued interest
- Clean up call: 15%

STM (FINMECCANICA) 0.375% 10

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:
  - Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer:
  - Cash + compensation premium CP

– Partial cash offer:
  - Continuity (for the equity element) + cash + compensation premium CP

NB: No compensation premium will be paid after 29 August 2006 (the date of the call) as T will then equal zero

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 29 August 06

– Redemption at par + accrued interest

– Trigger: 125% of redemption price

- Share settlement option: at maturity with premium of 1%

CALCULATION DETAILS

CP = K^2 * (Principal – IP) * T/C * CB / (CB + CS)

K = minimum of IP/MP and MP/IP

Principal = €1,000

IP = 754.69 €

CB = cash amount of offer

CS = value of equity element of offer

MP = bond parity on closing day of offer

C = 1,117 days (from the issue date to 29 August 2006)

T = number of days between closing date of offer and 29 August 2006 (zero thereafter)

STM 0% $ 13

TAKEOVER BID

- Put in the event of change in control unless the buyer is the French or Italian governments, France Télécom, Areva or Finmeccanica

– Redemption at increased value (guaranteeing a yield of –0.5%)

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 20 August 2006

– Redemption at increased value (guaranteeing a yield of –0.5%)

– Trigger: 130% of redemption price

- Clean-up call: 10%

- Holder put option:

– 20 August 2006/08/10

– Redemption at increased value (guaranteeing a yield of –0.5%)

SUDZUCKER 3% 08

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 7 December 2004	21.8182% reduction
To 7 December 2005	16.3636% reduction
To 7 December 2006	10.9091% reduction
To 7 December 2007	5.4545% reduction
Thereafter to maturity	0% reduction

- Put in the event of change in control
  - 20 days notice
  - Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 9 December 06
  - Redemption at par + accrued interest
  - Trigger: 130% of redemption price
- Clean up call: 10%
- Contingent conversion at 100% of the initial conversion price (calculated over an average of 20 days out of 30, except from September 2008 when only a single day is required to activate the conversion)

SWISS RE 3.25% 2011-21

TAKEOVER BID

- Put in the event of change in control

– Can be exercised in a period between 30 days and 60 days after notification of a change in control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 6 December 2006 to 20 November 2011

– Redemption at par + accrued interest

– Trigger: 120%

– From 21 November 2011

– Redemption at par + accrued interest

– Hard call – no trigger

SWISSCOM (SWISS GVT) 0% 05

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Partial cash offer

- The cash consideration received for the Exchange Property will be reinvested in the shares tendered in the offer if these are from an OECD country.
- If the shares are not from an OECD country they may be sold and the cash received either retained or reinvested in shares from the SMI, **at the issuer's discretion.**

– All cash offer:

The cash consideration for the Exchange Property will, **at the issuer's discretion,** either be retained as cash or reinvested in shares from the SMI.

OTHER SIGNIFICANT CLAUSES

- Clean-up call: 10%

SWISSCOM (SWISS GVT) 0% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Partial cash offer:

- The cash consideration received for the Exchange Property will be reinvested in the shares tendered in the offer if these are from an OECD country.

- If the shares are not from an OECD country they may be sold and the cash received either retained or reinvested in shares from the SMI, **at the issuer's discretion.**

– All cash offer:

The cash consideration for the Exchange Property will, **at the issuer's discretion,** either be retained as cash or reinvested in shares from the SMI.

OTHER SIGNIFICANT CLAUSES

- Clean-up call: 10%

SWISSCOM (SWISS GVT) 0.25% 07

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Partial cash offer:

- The cash consideration received for the Exchange Property will be reinvested in the shares tendered in the offer if these are from an OECD country.
- If the shares are not from an OECD country they may be sold and the cash received either retained or reinvested in shares from the SMI, **at the issuer's discretion.**

– All cash offer:

The cash consideration for the Exchange Property will, **at the issuer's discretion,** either be retained as cash or reinvested in shares from the SMI.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 3 January 2007

– Redemption at par + accrued interest

– Trigger: 125% of redemption price

- Holder put option

– 19 December 2005

– Redemption at par + accrued interest

- Clean-up call: 10%

TECHNIP 1% 07

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 1 January 05
- Redemption at increased value (guaranteeing a yield of 3.25%)
- Trigger: 120% of redemption price
- Clean-up call: 10%

TELECOM ITALIA (TECNOST) 1% 05

TAKEOVER BID

- the Exchange Property will become the consideration of the offer in the following cases:

1) the issuer indicates that it has accepted the offer

2) the issuer indicates that it has rejected the offer, or makes no indication but the other shareholders have accepted the offer

3) the issuer indicates that it has rejected the offer, or makes no indication, but the offer is mandatory

- In this case the Exchange Property will be definitively modified at the date the offer is declared unconditional and holders will receive:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer

2. if 1) is not possible in euro-denominated government bonds rated at least AA

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 3 November 03

– Redemption at increased value (guaranteeing a yield of 3.5%)

– Trigger: 115% of redemption price

- Holder put option

– 3 November 03

– Redemption at increased value (guaranteeing a yield of 3.5%)

- Cash out option

BNP PARIBAS
Equities & Derivatives

TELEKOM AUSTRIA (OIAG) 1.125% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer:

  - Cash + compensation premium CPA1
  - Or Issuer's hard call

– Partial cash offer:

  - Continuity (for the equity element) + cash + compensation premium CPA2

- Issuer's hard call

In the event of an all cash offer, the issuer may trigger early redemption at the higher of:

1. increased value (par + accrued interest)
2. cash + CPA1

OTHER SIGNIFICANT CLAUSES

- Clean-up call: 15%
- Share settlement: at maturity only
- Cash out option

CALCULATION DETAILS

- **Cash offer: CPA1 = CA + IY'**

if P'>= P, CA= P / (P' * (1+(P'– P) / P) * (€50 000 – P – IY) * T/C

if P'<= P, CA= P' / (P * (1+(P – P') / P') * (€50 000 – P – IY) * T/C

P= bond parity = €37,692.3077

P'= bond parity on date of acceptance of offer => conversion ratio on the day of acceptance of offer * VWAP of shares on the day of acceptance of offer

T= fromration in years between the acceptance of the offer and maturity

C= 3 (term of the bond)

IY= (1.125% * €50,000 – D * E) * C

IY' = (1.125% * €50,000 – D * E) * T

D= Cash dividend paid by Telekom Tostria against earnings in the 2002 fiscal year

E = conversion ratio at issue = 3,846.1538

- Cash and share offer: CPA2 = CA * CB / (CB+CS)

CB = amount of cash offer

CS = value of equity element of offer

THALES 2.5% 07

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 22 December 04
- – Redemption at par + accrued interest
- – Trigger: 120% of redemption price
- Clean-up call: 10%

THOMSON 1% 06

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 1 January 04
- Redemption at increased value (guaranteeing a yield of 2.75%)
- Trigger: 120% of redemption price
- Clean-up call: 10%

TIM OR SEAT (TELECOM ITALIA) 1% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer has accepted a takeover bid **(other than an offer from Telecom Italia or one of its subsidiaries)**, the Exchange Property will be definitively modified on the date this offer is declared unconditional, with holders receiving:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer
2. if 1) is not possible in shares in the bidder
3. if neither 1) or 2) is possible, for the Seat shares in shares from the FTSE Eurotop 300 Media index, for the TIM shares in shares from the FTSE Eurotop 300 Telecom index
4. if none of 1), 2) or 3) are possible, in euro-denominated government bonds rated at least AA

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 15 March 04

– Redemption at increased value (guaranteeing a yield of 4.25%)

– Trigger: 120% of redemption price

- Holder put option

– 15 March 04

– Redemption at increased value (guaranteeing a yield of 4.25%)

- Cash-out option

TISCALI 4.25% 06

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control the holder may, within 30 days following notification of this change, convert at an adjusted conversion price according to the formula set out below:

NCP = OCP - (CP / OCR)		
OCP	7.57	Old conversion price
OCR	132.1004	Old conversion ratio
CP = K² x (par value - IP - IY) x T/C		
K	0.52323207	Lower of IP/TV or TV/IP
IP	757.41	Equity equivalent of par value at issue
TV	396.3012	Offer value for one CB, i.e. offer value x 132.1004
IP/TV	1.91119785	
TV/IP	0.52323207	
Par value	1000	
IY = ((4.25% x par value) - (dividend x OCR)) x C/365		
coupon	4.25%	
dividend	0	Last dividend paid before change of control
C	1096	Total life of the CB in days
IY	127.616438	
T	601.000	Residual life in days (not including maturity date)
date	01/02/2005	
maturity	25/09/2006	
CP	17.2603902	

NCP	7.44
Premium offered	2%

Calculation assumptions

Share price at issue	5.73
Share price today	2.41
Value of the offer	3

- Put in the event of change in control
  - May be exercised within 30 days following the change in control
  - Redemption at par + accrued interest
  - The bidder must control at least 50% of capital

OTHER SIGNIFICANT CLAUSES

- Clean-up call: 10%
- Cash out option
- Share settlement option: only at maturity (but Tiscali does not currently have the tothority to issue shares. AGM approval would therefore be necessary before share settlement).

TMM (CARLTON) 2.25% 07

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. shares tendered in the offer
2. if 1) is not possible in shares of the bidder
3. if neither 1) nor 2) is possible in shares from Euronext 100

If the offer includes unlisted shares, the issuer must sell them and reinvest the proceeds in accordance with 1), 2) and 3) above

– All cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in shares of the bidder
2. if 1) is not possible in shares from Euronext 100

- Put if the Exchange Property consists of 95% cash

– Can be exercised between 75 and 90 days after notification of an unconditional offer

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 4 July 03

– Redemption at increased value (par + accrued interest)

– Trigger: 130% of redemption price

- Holder put option

– 4 January 2005

– Redemption at par

- Clean up call: 10%

TUI 4% 08

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within between 60 days and 90 days following notification of this change, convert at an adjusted conversion price as follows:

To 30 November 2004	25.76% reduction
To 30 November 2005	19.32% reduction
To 30 November 2006	12.88% reduction
To 30 November 2007	6.44% reduction
Thereafter to maturity	0% reduction

Premium at issue will never reimbursed!!

- Put in the event of change in control
- – Can be exercised between 60 and 90 days after notification of change in control
- – Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Clean up call: 15%
- Cash-out option
- Exceptional dividends
- – Period: in respect of the same fiscal year
- – Type: cash
- – Trigger: Div Yield > 5%
- – Trigger calculation: total dividends in respect of the same fiscal year is divided by the average of daily VWAP over the 365 days prior to the announcement date
- – Adjustment: to the excess of previous fiscal year dividends

UBM 2.375% 06

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 19 December 2004	554 p
Thereafter to maturity	577 p

- Put in the event of change in control
- – Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 19 December 04
- – Redemption at par + accrued interest
- – Trigger: 130% of redemption price
- Holder put option
- – 19 December 04
- – Redemption at par + accrued interest
- Clean up call: 15%
- Share settlement option: at maturity and in event of a call

VALEO (WENDEL) 3.75% 05

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

  - Continuity (adjustment of the ratio according to the offer ratio)

– Full or partial cash offer:

In this case **the issuer must** redeem all bonds at the higher of:

1. the increased value (par + accrued interest)
2. the value of the mixed or all cash offer

In addition the redemption price will be increased by a further 1%.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 27 May 04

– Redemption at par + accrued interest

– Trigger: 115% of redemption price

- Share settlement option
- Clean-up call:10%

BNP PARIBAS
Equities & Derivatives

VALEO 2.375% 11

TAKEOVER BID

- Continuity

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

- Ratchet / continuous

In case of an offer, holder will benefit from a temporary ratio enhancement (amortisation over time of the premium at issue) for conversion arising from the offer opening period to:

5. 10d after the close of this offer, if unconditional;
6. 10d after the publication of the results of this offer if conditional offer, ending successful;
7. the date of the publication of the results if the offer is conditional offer, ending unsuccessful;
8. the date of the offer removal if it happens.

NCP = OCP x (1 + (CP x C/T))

NCP (OCP)	new conversion price (old)
CP	conversion premium at issue (44%)
C	time remaining between adjustment and maturity
T	total life of the issue (2707 days)

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 31 January 07

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

– Trigger calculation: average closing share prices for 10 consecutive dealing days over the 20 dealing days prior to notification

– Notification: 1 month

- Clean-up call: 10%

- Exceptional dividends

– Period: during the same fiscal year

– Type: cask and kind dividends

– Trigger: Div Yield > 6%

– Div yield calculation: each dividend is divided by the equity closing price the day prior to dividend payment

– Adjustment: over 5%

$$NCR = OCR \times (1 + \text{Div Yield} - 5\%)$$

– All dividends paid after a 1st dividend adjustment and during the same fiscal year will be adjusted automatically and completely

$$NCR = OCR \times (1 + \text{Div Yield})$$

VERSATEL 3.875% 2011

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 28 October 2005:	€1.667
To 28 October 2006:	€1.748
To 28 October 2007:	€1.809
To 28 October 2008:	€1.870
To 28 October 2009:	€1.931
Thereafter to maturity:	€1.972

- Put in the event of change in control
- – Can be exercised in the 30 days following notification of a change in control
- – Redemption at par + accrued interest
- – For all bonds held by the same holder

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 28 Oct 09
- – Redemption at par + accrued interest
- – Trigger: 130% of redemption price
- Clean up call: 15%

VINCI (VU) 1% 2006

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer
2. if 1) is not possible in the bidder's shares
3. if neither 1) nor 2) are possible in shares from the CAC40

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 1 March 03

– Redemption at increased value (par + accrued interest)

– Trigger: 125% of redemption price

BNP PARIBAS
Equities & Derivatives

VINCI 2% 18

TAKEOVER BID

Nothing indicated in prospectus

- Under French regulations, in case of a takeover bid on the underlying shares, convertible will be covered by a specific offer

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 1 January 06
  - Redemption at increased value (guaranteeing a yield of 3.875%)
  - Trigger: 125% of redemption price
- Holder put option
  - 2 May 2006/10/14
  - Redemption at increased value (guaranteeing a yield of 3.875%)
- Clean-up call: 10%

VNU 1.75% 06

TAKEOVER BID

1. if the cash element of the offer represents more than 25% of the total offer:

– Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 18 May 2005	57.92 €
Thereafter to maturity	59.50 €

2. if the cash element of the offer represents less than 25% of the total offer, a Trust Deed will be drawn up which will allow conversion into a number of shares equivalent to the total offer

- Put in the event of change in control

– Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 18 May 04

– Redemption at par + accrued interest

– Trigger: 130% of redemption price

- Cash-out option

BNP PARIBAS
Equities & Derivatives

VODAFONE (BAE) 3.75% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer
2. if 1) is not possible in government bonds.

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 21 July 02

– Redemption at par + accrued interest

– Trigger: 115% of nominal

– Trigger calculation: B price should reached every day for at least 20 dealing days over 30 consecutive dealing days

– B price at day n = simple average of bid/offer quotations for 5 dealing days ending day n-1

- Clean-up call: 15%
- Restructuring Put: change of main business

BNP PARIBAS
Equities & Derivatives

VOESTALPINE 1.5% 2010

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

Until 20 July 2006	18.8499% reduction
Until 20 July 2007	14.0945% reduction
Until 20 July 2008	9.3391% reduction
Until 20 July 2009	4.5837% reduction
Until 20 July 2010	0% reduction

Premium at issue will never be reimbursed !!!!

- Put in the event of change in control
- – Redemption at par + accrued interest
- – Exercise over 30 days after notification

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 1st July 2009
- – Redemption at par + accrued interest
- – Trigger: 130% of redemption price
- Clean up call: 15%
- Exceptional dividends
- – Period: in respect of the same fiscal year
- – Type: cash
- – Trigger: Div Yield > 6%
- – Div yield calculation: total dividends paid in respect of the same fiscal year divided by the average of closing share price over previous fiscal year
- – Adjustment: for the excess

BNP PARIBAS
Equities & Derivatives

VOESTALPINE (OIAG) 1.5% 06

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified with holders receiving the following:

– Share offer:

- Continuity (adjustment of the ratio according to the offer ratio)

– All cash offer:

- Cash + compensation premium CPA1
- Or issuer's hard call

– Cash and shares offer:

- Continuity (for the equity element) + cash + compensation premium CPA2

- Issuer's hard call

In the event of an all cash offer the issuer may make early redemption at the higher of:

1. increased value (par + accrued interest)
2. cash + CPA1

OTHER SIGNIFICANT CLAUSES

- Clean-up call: 15%
- Share settlement
- Cash out option

CALCULATION DETAILS

- All cash offer: CPA1 = CA + IY'

if P'>= P, CA= P / (P' * (1+(P'– P) / P) * (€50,000 – P – IY) * T/C

if P'<= P, CA= P' / (P * (1+(P – P') / P') * (€50,000 – P – IY) * T/C

P= bond parity = €39,730.0775

P'= bond parity on day of acceptance of offer => conversion ratio on day of acceptance of offer * VWAP of shares on day of acceptance of offer

T= fromration in years between acceptance of offer and maturity

C= 3 (fromration of the bond)

$IY = (1.5\% * €50\ 000 - D * E) * C$

$IY' = (1.5\% * €50\ 000 - D * E) * T$

D= Cash dividend paid by Voestalpine against earnings in the year to 31 March 2003.

E = conversion ratio at issue = 1211.3870

- **Cash and shares offer: CPA2 = CA * CB / (CB+CS)**

CB = amount of cash offered

CS = value of shares offered

VU (VE) 2.25% 05

TAKEOVER BID

No details in the prospectus

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 1 January 02
  - Redemption at increased value (guaranteeing a yield of 2.83%)
  - Trigger: 115% of redemption price
- Clean up call: 10%

WEGENER 5.5% 05

TAKEOVER BID

- Put in the event of change in control
- Can be exercised in the 60 days following notification of change of control
- Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- From 26 April 03
- Redemption at par + accrued interest
- Trigger: 130% of redemption price

WOLTERS KLUWER 1% 06

TAKEOVER BID

1. If the cash element represents more than 25% of the total offer:

– Ratchet: single step

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To maturity	31 €

2. if the cash element represents less than 25% of the total offer a Trust Deed will be drawn up and will allow conversion into a number of shares equivalent to the total offer

- Put in the event of change in control
- Redemption at increased value (guaranteeing a yield of 2.50%)

OTHER SIGNIFICANT CLAUSES

- Issuer call option
  - From 14 December 04
  - Redemption at increased value (guaranteeing a yield of 2.50%)
  - Trigger: 130% of redemption price
- Clean-up call: 15%
- Cash-out option

WPP 2% 07

TAKEOVER BID

- Ratchet: fixed steps

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the table below:

To 11 April 2005	1060 p
To 11 April 2006	1094 p
Thereafter to maturity	1105 p

- Put in the event of change in control
- – Redemption at par + accrued interest

OTHER SIGNIFICANT CLAUSES

- Issuer call option
- – From 19 December 04
- – Redemption at par + accrued interest
- – Trigger: 130% of redemption price
- Holder put option
- – 19 December 04
- – Redemption at par + accrued interest
- Clean up call: 15%
- Share settlement option: at maturity and in the event of a call

XSTRATA (GLENCORE) 4.125% 10

TAKEOVER BID

- Acceptance/rejection of the bid at issuer's sole discretion
- If the issuer accepts a takeover bid, the Exchange Property will be definitively modified on the date the offer is declared unconditional, and holders will receive the following:

– Share offer: continuity

– Full or partial cash offer:

The cash consideration received for the Exchange Property will be reinvested as follows:

1. in the shares tendered in the offer
2. if 1) is not possible in shares of the bidder
3. if neither 1) nor 2) is possible in shares from the Energy sector of the FTSE 100

If shares not falling into categories 1), 2) or 3) above form part of the offer, the issuer must sell them and reinvest the proceeds according to 1), 2) and 3) above

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 20 October 08

– Redemption at increased value (guaranteeing a yield of 5.83%)

– Trigger: 130% of redemption price

- Clean up call: 15%

XSTRATA 3.95% 10

TAKEOVER BID

- Ratchet: continuous

In the event of a change in control, the holder may, within 60 days following notification of this change, convert at an adjusted conversion price according to the formula below;

NCP = OCP * (A * B / C)

NCP = new conversion price

OCP = old conversion price

A = average price of the bond fromring a period of 30 consecutive days ending 5 days before the beginning of the offer

C = average conversion price (same period)

B = average share price (same period)

OTHER SIGNIFICANT CLAUSES

- Issuer call option

– From 6 September 07

– Redemption at increased value (par + accrued interest)

– Trigger: 130% of redemption price

- Clean up call: 15%

BNP PARIBAS
Equities & Derivatives

In accordance with US regulations, the analyst(s) named in this report certifies that 1) all of the views expressed herein accurately reflect the personal views of the analyst(s) with regard to any and all of the content, securities and issuers and 2) no part of the compensation of the analyst(s) was, is, or will be, directly or indirectly, related to the specific recommendation or views expressed by the analyst(s) in this report.

It is a BNP Paribas policy that analysts are prohibited from trading in any of the stocks in the sector that they cover.

THIS PUBLICATION IS NOT INTENDED FOR PRIVATE CUSTOMERS AS DEFINED IN THE FSA RULES AND SHOULD NOT BE PASSED ON TO ANY SUCH PERSON.

The material in this report was produced by a BNP Paribas Group Company. It will have been approved for publication and distribution in the United Kingdom by BNP Paribas London Branch, a branch of BNP Paribas SA whose head office is in Paris, France. BNP Paribas London Branch is regulated by the Financial Services Authority ("FSA") for the conduct of its designated investment business in the United Kingdom. BNP Paribas SA, a limited company, is registered as a bank with the “Comité des Etablissements de Crédit et des Entreprises d’Investissement” (“CECEI”) and is regulated by the “Autorité des Marchés Financiers” (“AMF”) for the conduct of its designated investment business in France. BNP Paribas Securities Corp. in the United States accepts responsibility for the contents of this report in circumstances where the report has been distributed by BNP Paribas Securities Corp. direct to U.S. recipients.

The information and opinions contained in this report have been obtained from public sources believed to be reliable, but no representation or warranty, express or implied, is made that such information is accurate or complete and it should not be relied upon as such. Information and opinions contained in the report are published for the assistance of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgement by any recipient, and are subject to change without notice. This report is not, and should not be construed as, an offer document or an offer or solicitation to buy or sell any investments. Any reference to past performance should not be taken as an indication of future performance. No BNP Paribas Group Company accepts any liability whatsoever for any direct or consequential loss arising from any use of material contained in this report. This report is confidential and is submitted to selected recipients only. It may not be reproduced (in whole or in part) to any other person. A BNP Paribas Group Company and/or persons connected with it may effect or have effected a transaction for their own account in the investments referred to in the material contained in